

**TOWN OF PITTSBORO
NORTH CAROLINA**

Financial Statements and
Supplementary Information

Year Ended June 30, 2021

Governing Board

James W. Nass, Mayor
Pamela Baldwin
J.A. (Jay) Farrell
Michael A. Fiocco
Kyle Shipp
John Bonitz

Town Officials

Chris Kennedy, Town Manager
Cassandra M. Bullock, Town Clerk
Heather E.R. Meacham, Finance Officer

TOWN OF PITTSBORO, NORTH CAROLINA

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FINANCIAL SECTION



Independent Auditors' Report

To the Honorable Mayor
and Members of the Board of Commissioners
Town of Pittsboro
Pittsboro, North Carolina

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, the discretely presented component unit, each major fund, and the aggregate remaining fund information of the Town of Pittsboro, North Carolina, as of and for the year ended June 30, 2021, and the related notes to the financial statements, which collectively comprise the Town's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We did not audit the financial statement of the Town of Pittsboro ABC Board, which represented 100 percent of the assets, net position and revenues of the discretely presented component units. Those financial statements were audited by another auditor whose report has been furnished to us, and our opinion, insofar as it relates to the amounts included for the Town of Pittsboro ABC Board, is based solely on the report of another auditor. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement. The Town of Pittsboro ABC Board was not audited in accordance with *Government Auditing Standards*.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, the discretely presented component unit, each major fund, and the aggregate remaining fund information of the Town of Pittsboro, North Carolina as of June 30, 2021, and the respective changes in financial position and cash flows, where appropriate, thereof and the respective budgetary comparison for the General Fund for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management's discussion and Analysis on pages 4 through 14, Local Government Employees' Retirement System's Schedules of the Proportionate Share of the Net Pension Liability and Contributions on pages 58 through 59, and the Law Enforcement's Officers' Special Separation Allowance schedules of the Changes in Total Pension Liability and Total Pension Liability as a Percentage of Covered Payroll on pages 60 through 61 and the Other Postemployment Benefits Schedule of Changes in the Total OPEB Liability and Related Ratios on page 62, be presented to supplement the basic financial statements. Such information, although not a required part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary and Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the basic financial statements of the Town of Pittsboro, North Carolina. The combining and individual nonmajor fund statements, budgetary schedules, and other schedules are presented for additional analysis and are a required part of the basic financial statements.

The combining and individual fund statements, budgetary schedules, and other schedules are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, based on our audit, the procedures performed as described above, the combining and individual fund statements, the budgetary schedules, and other schedules are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our reports dated December 1, 2021 on our consideration of the Town of Pittsboro's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of those reports is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. Those reports are an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Town of Pittsboro's internal control over financial reporting and compliance.

Sharpe Patel PLLC

Raleigh, North Carolina
December 1, 2021

MANAGEMENT'S DISCUSSION AND ANALYSIS

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS

As management of the Town of Pittsboro, we offer readers of the Town of Pittsboro's financial statements this narrative overview and analysis of the financial activities of the Town of Pittsboro for the fiscal year ended June 30, 2021. We encourage readers to read the information presented here in conjunction with additional information that we have furnished in the Town's financial statements, which follow this narrative.

Financial Highlights

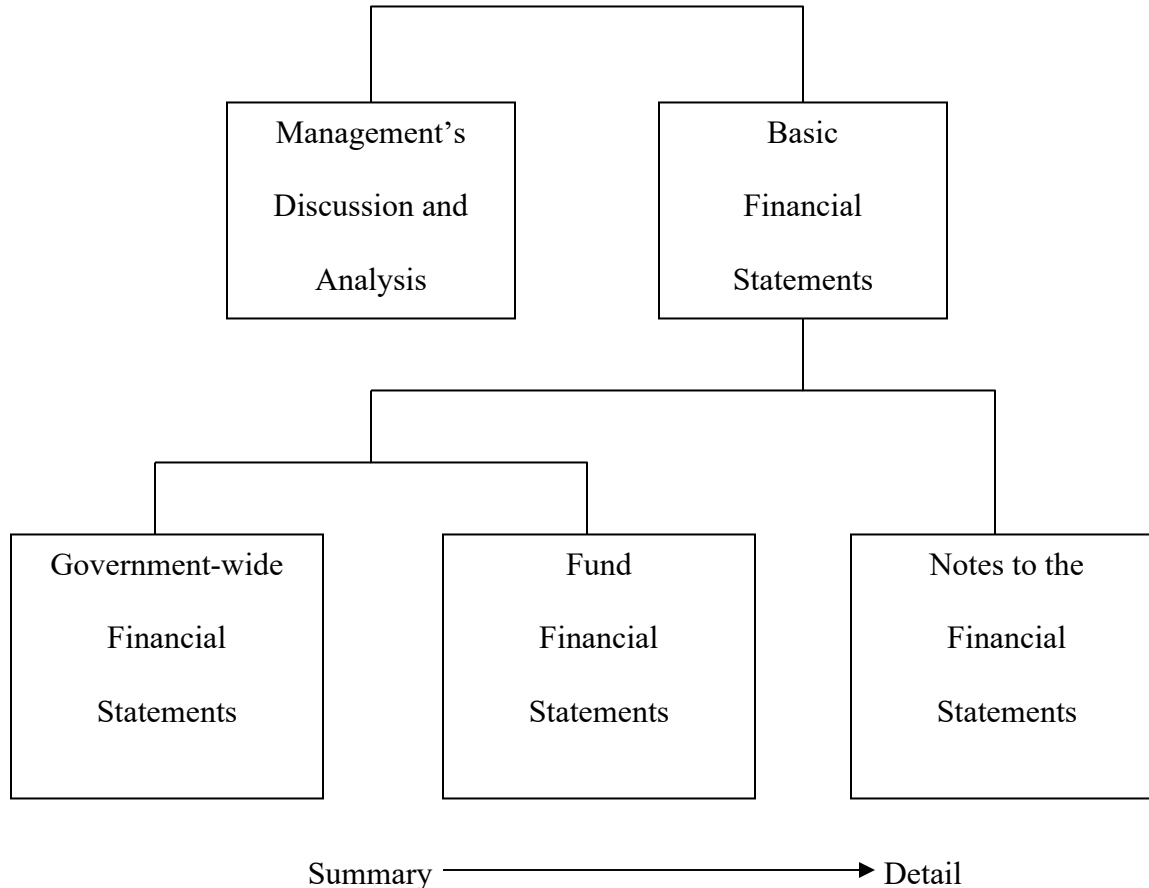
- The assets of the Town of Pittsboro exceeded its liabilities at the close of the fiscal year by \$24,807,940 (**net position**).
- The government's total net position *increased* by \$1,094,055 due to an *increase* in both *governmental* activities net position and *business-type* activities net position.
- As of the close of the current fiscal year, Pittsboro's governmental funds reported combined ending fund balances of \$6,567,646 an increase of \$1,263,406 in comparison with the prior year. Approximately 41.86% of this total amount, or \$2,749,359, is non-spendable, assigned or restricted.
- At the end of the current fiscal year, unassigned fund balance for the General Fund was \$3,897,711 or 69.07% of total General Fund – Fund Balance for the fiscal year.
- The Town of Pittsboro's total debt (net of compensated absences, net pension liability and other postemployment benefits) decreased by \$35,130 during the current fiscal year. The key factors in this decrease were regular loan payments.

Overview of the Financial Statements

This discussion and analysis is intended to serve as an introduction to the Town of Pittsboro's basic financial statements. The Town's basic financial statements consist of three components; 1) government-wide financial statements, 2) fund financial statements, and 3) notes to the financial statements (see Figure 1). The basic financial statements present two different views of the Town of Pittsboro through the use of government-wide financial statements and fund financial statements. In addition to the basic financial statements, this report contains other supplemental information that will enhance the reader's understanding of the financial condition of the Town of Pittsboro.

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

Required Components of Annual Financial Report
Figure 1



Basic Financial Statements

The first two statements (Exhibits 1 and 2) in the basic financial statements are the **Government-wide Financial Statements**. They provide both short and long-term information about the Town of Pittsboro's financial status.

The next statements (Exhibits 3 through 8) are **Fund Financial Statements**. These statements focus on the activities of the individual parts of the Town of Pittsboro's government. These statements provide more detail than the government-wide statements. There are three parts to the Fund Financial Statements: 1) the governmental funds statements; 2) the budgetary comparison statements; and 3) the proprietary fund statements.

The next section of the basic financial statements is the **notes**. The notes to the financial statements explain in detail some of the data contained in those statements. After the notes, **supplemental information** is provided to show details about the Town of Pittsboro's individual funds. Budgetary information required by the General Statutes also can be found in this part of the statements.

Town of Pittsboro
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MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

Government-wide Financial Statements

The government-wide financial statements are designed to provide the reader with a broad overview of the Town of Pittsboro's finances, similar in format to a financial statement of a private-sector business. The government-wide statements provide short and long-term information about the Town's financial status as a whole.

The two government-wide statements report the Town of Pittsboro's net position and how it has changed. Net position is the difference between the Town's total assets and total liabilities. Measuring net assets is one way to gauge the Town of Pittsboro's financial condition.

The government-wide statements are divided into three categories: 1) governmental activities; 2) business-type activities; and 3) component units. The governmental activities include most of the Town of Pittsboro's basic services such as public safety, sanitation, street maintenance, recreation and parks, and general administration. Property taxes, sales taxes, charges for services, and state and federal grant funds finance most of these activities. The business-type activities are those that the Town charges customers to provide. These include the water and sewer services offered by the Town of Pittsboro. The final category is the component unit. Although legally separate from the Town of Pittsboro, the Pittsboro ABC Board is important to the Town because the Town exercises control over the Board by appointing its members and because the Board is required to distribute its profits, if any, to the Town of Pittsboro.

The government-wide financial statements are on Exhibits 1 and 2 of this report.

Fund Financial Statements

The fund financial statements (See figure 1) provide a more detailed look at the Town of Pittsboro's most significant activities. A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The Town of Pittsboro, like all other governmental entities in North Carolina, uses fund accounting to ensure and reflect compliance (or non-compliance) with finance-related legal requirements, such as the General Statutes or the Town of Pittsboro's budget ordinance. All of the funds of the Town of Pittsboro can be divided into two categories: governmental funds and proprietary funds.

Governmental Funds – Governmental funds are used to account for those functions reported as governmental activities in the government-wide financial statements. Most of the Town of Pittsboro's basic services are accounted for in governmental funds. These funds focus on how assets can readily be converted into cash flow in and out, and what monies are left at year-end that will be available for spending in the next year. Governmental funds are reported using an accounting method called *modified accrual accounting* that provides a short-term spending focus. As a result, the governmental fund financial statements give the reader a detailed short-term view that helps determine if there are more or less financial resources available to finance the Town's programs. The relationship between government activities (reported in the Statement of Net Position and the Statement of Activities) and governmental funds is described in a reconciliation that is a part of the fund financial statements.

The Town of Pittsboro adopts an annual budget for its General Fund, as required by the General Statutes. The budget is a legally adopted document that incorporates input from the citizens of the Town, management of the Town and the decisions of the Board about which services to provide and how to pay for them. It also authorizes the Town to obtain funds from identified sources to finance these current period

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

activities. The budgetary statements provided for the General Fund demonstrates how well the Town complied with the budget ordinance and whether or not the Town of Pittsboro succeeded in providing the services a planned when the budget was adopted. The budgetary comparison statement uses the budgetary basis of accounting and is presented using the same format, language, and classifications as the legal budget document. The statements shows four columns: 1) the original budget as adopted by the board; 2) the final budget as amended by the board; 3) the actual resources, charges to appropriations, and ending balances in the General Fund; and 4) the difference or variance between the final budget and the actual resources and charges. To account for the difference between the budgetary basis of accounting and the modified accrual basis, a reconciliation showing the differences in the reported activities is shown at the end of the budgetary statement.

Proprietary Funds – The Town of Pittsboro has one kind of proprietary fund. The *Enterprise Fund* is used to report the same functions presented as business-type activities in the government-wide financial statements. The Town of Pittsboro uses an Enterprise Fund to account for its water and sewer activities. The fund is the same as those functions shown in the business-type activities in the Statement of Net Position and the Statement of Activities.

Notes to the Financial Statements – The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements begin on page 25 of this report.

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

Government-Wide Financial Analysis

**The Town of Pittsboro's Net Position
Figure 2**

	Governmental Activities		Business-type Activities		Total	
	2021	2020	2021	2020	2021	2020
Current and other assets	\$ 8,235,968	\$ 7,607,708	\$ 5,543,971	\$ 4,964,124	\$ 13,779,939	\$ 12,571,832
Capital assets	5,604,986	5,657,380	11,706,191	12,006,362	17,311,177	17,663,742
Deferred outflows of resources	722,743	443,811	386,931	271,730	1,109,674	715,541
 Total assets and deferred outflow of resources	 14,563,697	 13,708,899	 17,637,093	 17,242,216	 32,200,790	 30,951,115
 Long-term liabilities outstanding	 2,430,562	 2,170,574	 2,240,815	 2,256,224	 4,671,377	 4,426,798
Other liabilities	1,233,922	1,817,434	426,207	384,359	1,660,129	2,201,793
Deferred inflows of resources	832,511	576,014	228,833	32,625	1,061,344	608,639
 Total liabilities and deferred outflow of resources	 4,496,995	 4,564,022	 2,895,855	 2,673,208	 7,392,850	 7,237,230
 Net position						
Net investment in capital assets	5,233,918	5,372,889	10,433,503	10,611,968	15,667,421	15,984,857
Restricted	1,630,428	2,407,856	3,870,762	579,109	5,501,190	2,986,965
Unrestricted	3,202,356	1,364,132	436,973	3,377,931	3,639,329	4,742,063
 Total net position	 \$10,066,702	 \$9,144,877	 \$14,741,238	 \$14,569,008	 \$24,807,940	 \$23,713,885

Town of Pittsboro
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MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

As noted earlier, net position may serve over time as one useful indicator of a government's financial condition. The assets and deferred outflows of resources of the Town of Pittsboro exceeded liabilities and deferred inflows by \$24,710,058 as of June 30, 2021. The Town's net position *increased* by \$996,173 for the fiscal year ended June 30, 2021. However, the largest portion, \$15,667,421 (63.4%), reflects the Town's investment in capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the Town of Pittsboro's investment in its capital assets is reported net of the outstanding related debt, the resources needed to repay that debt must be provided by other sources, since the capital assets cannot be used to liquidate these liabilities. An additional portion of the Town of Pittsboro's net position, \$1,759,852 (7.12%), represents resources that are subject to external restrictions on how they may be used. The remaining balance of \$7,282,785 (29.48%) is unrestricted. With the GASB Statement 73 reporting change, the Town has allocated its proportionate share of the Local Government Employees' Retirement System's net pension asset, deferred outflows of resources, deferred inflows of resources, and pension expense. Decisions regarding the allocations are made by the administrators of the pension plan, not by the Town of Pittsboro's management.

The Town of Pittsboro's financial operations positively influenced the total unrestricted governmental net position by:

- Continued diligence in the collection of property taxes by maintaining a tax collection percentage of 99.23% for the year ending June 30, 2021.
- Conservative spending habits within departments.

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

Town of Pittsboro's Changes in Net Position
Figure 3

	Governmental Activities		Business-type Activities		Total	
	2021	2020	2021	2020	2021	2020
Revenues						
Program revenues						
Charges for services	\$ 721,009	\$ 851,940	\$ 3,910,434	\$ 4,358,386	\$ 4,631,443	\$ 5,210,326
Operating grants and contributions	527,900	376,560	-	-	527,900	376,560
Capital grants and contributions	-	23,000	97,882	-	97,882	23,000
General revenues						
Property taxes	2,599,133	2,461,923	-	-	2,599,133	2,461,923
Other taxes	1,867,270	1,661,264	-	-	1,867,270	1,661,264
Grants and contributions not restricted to specific programs	56,582	277,787	-	-	56,582	277,787
Other	118,278	111,709	73,516	84,139	191,794	195,848
Total revenues	<u>5,890,172</u>	<u>5,764,183</u>	<u>4,081,832</u>	<u>4,442,525</u>	<u>9,972,004</u>	<u>10,206,708</u>
Expenses						
General government	1,176,855	1,405,113	-	-	1,176,855	1,405,113
Public safety	2,108,703	2,152,880	-	-	2,108,703	2,152,880
Transportation	728,639	715,797	-	-	728,639	715,797
Economic & physical development	278,367	261,010	-	-	278,367	261,010
Environmental protection	476,028	466,010	-	-	476,028	466,010
Culture and recreation	96,129	195,411	-	-	96,129	195,411
Main street/downtown	96,000	105,231	-	-	96,000	105,231
Interest on long-term debt	7,626	3,860	-	-	7,626	-
Water and sewer			3,909,602	3,894,860	3,909,602	3,894,860
Total expenses	<u>4,968,347</u>	<u>5,305,312</u>	<u>3,909,602</u>	<u>3,894,860</u>	<u>8,877,949</u>	<u>9,196,312</u>
Increase in net position before transfers	921,825	458,871	172,230	547,665	1,094,055	1,010,396
Transfers	-	176,130	-	(176,130)	-	-
Increase in net position	921,825	635,001	172,230	371,535	1,094,055	1,006,536
Net position, July 1 (consolidated)	9,144,877	8,509,876	14,569,008	14,197,473	23,713,885	22,707,349
Net position, beginning	<u>9,144,877</u>	<u>8,509,876</u>	<u>14,569,008</u>	<u>14,197,473</u>	<u>23,713,885</u>	<u>22,707,349</u>
Net position, June 30	<u>\$10,066,702</u>	<u>\$9,144,877</u>	<u>\$14,741,238</u>	<u>\$14,569,008</u>	<u>\$24,807,940</u>	<u>\$23,713,885</u>

Town of Pittsboro
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MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

Governmental Activities – Governmental activities increased the Town's net position by \$921,825.

Business-type Activities – Business-type activities increased the Town's net position by \$74,348.

Financial Analysis of the Town of Pittsboro's Funds

As noted earlier, the Town of Pittsboro uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

Governmental Funds – The focus of the Town of Pittsboro's governmental funds is to provide information on near-term inflows, outflows, and balances of usable resources. Such information is useful in assessing the Town's financing requirements. Specifically, unreserved fund balance can be a useful measure of a government's net resources available for spending at the end of the fiscal year.

The General Fund is the chief operating fund of the Town of Pittsboro. At the end of the current fiscal year, unassigned fund balance of the General Fund was \$3,897,711 while total fund balance reached \$5,528,139. As a measure of the general fund's liquidity, it may be useful to compare both unassigned fund balance and total fund balance to total fund expenditures. Unassigned fund balance represents 82.33% of total General Fund expenditures.

At June 30, 2021, the governmental funds of the Town of Pittsboro reported a combined fund balance of \$6,567,646, a \$1,263,406 increase over last year. Included in this change in fund balance is a small increase in the Non-Major Funds and a large increase in fund balance in the General Fund.

General Fund Budgetary Highlights – During the fiscal year, the Town of Pittsboro revised the budget on several occasions. Generally, budget amendments fall into one of three categories: 1) amendments made to adjust the estimates that are used to prepare the original budget ordinance once exact information is available; 2) amendments made to recognize new funding amounts from external sources, such as Federal and State grants; and 3) increases in appropriations that become necessary to maintain services.

Proprietary Funds – The Town of Pittsboro's proprietary funds provide the same type of information found in the government-wide statements but in more detail. Unrestricted net position of the Water and Sewer Fund at the end of the fiscal year amounted to \$339,091. The total net position for the fund increased by \$172,230. Other factors concerning the finances of the fund have already been addressed in the discussion of the Town of Pittsboro's business-type activities.

Capital Assets and Debt Administration

Capital Assets – The Town of Pittsboro's investment in capital assets for its governmental and business type activities as of June 30, 2021 totals \$17,311,175 (net of accumulated depreciation). These assets include buildings, streets, land, machinery and equipment, park facilities, and vehicles.

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

**The Town of Pittsboro's Capital Assets
Figure 4**

(net of depreciation)

	Governmental Activities		Business-type Activities		Total	
	2021	2020	2021	2020	2021	2020
Land	\$ 1,461,830	\$ 1,461,830	\$ 10,200	\$ 10,200	\$ 1,472,030	\$ 1,472,030
Buildings and systems	213,345	222,878	22,943	27,163	236,288	250,041
Improvements other than building			9,703,183	10,193,028	9,703,183	10,193,028
Furniture and equipment	317,298	365,462	223,960	262,531	541,258	627,993
Infrastructure	1,740,150	1,911,757	-	-	1,740,150	1,911,757
Vehicles and motorized equipment	412,348	388,322	32,498	42,498	444,846	430,820
Construction in progress	1,460,014	1,307,131	1,713,406	1,470,941	3,173,420	2,778,072
Total	\$ 5,604,985	\$ 5,657,379	\$ 11,706,190	\$ 12,006,361	\$ 17,311,175	\$ 17,663,741

Additional information on the Town of Pittsboro's capital assets can be found in the Notes to the Financial Statements, Section II-A-3 (pages 36-37), of the Basic Financial Statements.

Long-term Debt – As of June 30, 2021, the Town of Pittsboro had total debt outstanding of \$4,915,199. This entire amount of debt is backed by the full faith and credit of the Town of Pittsboro.

**The Town of Pittsboro's Outstanding Debt
Figure 5**

	Governmental Activities		Business-type Activities		Total	
	2021	2020	2021	2020	2021	2020
General obligation bonds			\$ 276,000	\$ 293,000	\$ 276,000	\$ 293,000
Notes Payable	351,568	284,492	1,016,188	1,101,394	1,367,756	1,385,886
Compensated absences	123,244	89,467	65,967	63,925	189,211	153,392
OPEB	581,013	765,229	420,673	502,883	1,001,686	1,268,112
Pension related debt	1,490,616	1,109,808	589,930	416,729	2,080,546	1,526,537
	\$ 2,546,441	\$ 2,248,996	\$ 2,368,758	\$ 2,377,931	\$ 4,915,199	\$ 4,626,927

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

The Town of Pittsboro's total debt increased by \$288,272 (6.23%) during the past fiscal year primarily as a result of increased liability related to Other Postemployment Benefits Plan (OPEB) and pension related debt.

North Carolina general statutes limit the amount of general obligation debt that a unit of government can issue to 8% of the total assessed value of taxable property located within that government's boundaries. The legal debt margin for the Town of Pittsboro is \$46,440,210. The Town has no bonds authorized at June 30, 2021.

Additional information regarding the Town's long-term debt can be found in the Notes to the Financial Statements, Section II-6 (pages 51-54), of this report.

Economic Factors and Next Year's Budgets and Rates

The Town of Pittsboro continued to experience positive economic growth in Fiscal Year 2020-2021. Despite the sustained effects of the COVID-19 pandemic, the Town saw progressively strong, positive results with our sales tax and ad valorem revenue categories, indicating increasing levels of recovery. The COVID-19 pandemic continued to keep some businesses shuttered or limited in operation and tourist travel remained minimal in comparison to pre-pandemic levels. Pittsboro fared better than expected and better than some other communities, as many of our emerging and growth-indicating markets continued to be classified as "essential" businesses. However, our downtown businesses, many of which are small retail shops and local restaurateurs, will continue to battle the effects for years to come as they attempt to remain open for business. The sourcing of workers and supply chain inconsistencies continued to rear a negative impact on our entire economy, particularly our local businesses.

Pandemic-related fiscal prognostication, especially on the sales tax revenue side, pushed most municipalities to reduce their expected revenues to fractions of the original projections as travel and in-person shopping was halted. The Town continued with its conservative approach to that end but projected revenue closer to the pre-pandemic levels in FY 2020-21 as businesses progressively reopened and online shopping produced better sales tax revenue receipts. The Town also maintained its policy of waiving all late fees and disconnections on the enterprise fund side of the operation in direct response to the pandemic. These waivers generated more accounts in arrears that directly correlate to fund balance in our retained earnings but allowed our customers the ability to delay payment in a volatile and sometimes fragile job market created by the pandemic.

Construction and planning of new residential and commercial projects continued in earnest. Chatham Park, Mosaic and Northwood Landing expanded their construction with many new residences and the opening of commercial businesses in these developments. Smaller infill and reuse projects also occurred throughout Town. Utility capacity, particularly on the wastewater side, continued to slow development growth. The Town intensified its efforts to increase water and wastewater capacities by partnering with Chatham County and the City of Sanford on several studies, in addition to the Town's participation in the Western Intake Partnership, that seek to bring greater flexibility to our utility systems.

As we look ahead to FY 2021-22 and beyond, the effects of the COVID-19 pandemic and minimal wastewater treatment capacity availability will continue to persist and stifle our full economic growth potential. On the positive side, the 2021 Chatham County Property Reappraisal indicated nearly a 40% increase in property value in Pittsboro alone, and nearly 15% countywide. This increase in value on the ad valorem side of the budget denotes an increasingly strong real estate market, which will surely assist the

Town of Pittsboro
North Carolina

MANAGEMENT'S DISCUSSION AND ANALYSIS (Continued)

Town in the implementation of much needed capital projects and expanded services. Conversely, on the negative side, rapid inflation and supply chain concerns will be prevalent in the year to come. Materials for daily operations and capital projects are more costly and more difficult to obtain in a timely manner than even a year ago. These budget and schedule busting aspects, compounded with an existing market shortage on contractors and subcontractors like surveyors, electricians, building inspectors and other necessary trades, will limit the Town's ability to deliver necessary projects as originally scheduled. Aging infrastructure and the need for more staff will also require a reevaluation of our current fee schedules and structures. The Town's operational costs have increased and will likely continue to increase for the foreseeable future as most sectors are seeing cost increases in the double-digits of percentages with others seeing increases double or triple of that of their pre-pandemic pricing. The Town will continue to assess the market conditions and project conservatively so that we can continue to enhance our service levels to our citizens, residents and customers.

Budget Highlights for the Year Ending June 30, 2022

Governmental Activities –An ad valorem tax rate of \$0.4333 per \$100.00 assessed value was recommended and adopted in the base budget for the official tax rate for the Town of Pittsboro for fiscal year 2021-2022. This rate is based on the most recent valuation and uses and anticipated collection rate of 97.5% which is 1.5% increase from prior years based on the current economic environment. The revenue neutral tax rate is \$0.3419 per \$100.00 assessed value.

Ad valorem taxes (\$3,286,761) account for 45% of the total General Fund revenue. Other major revenue streams for the Town include sales taxes, tipping fees and utility franchise taxes. These revenues are projected to bring in \$1,167,300 (16.03%), \$484,800 (6.66%) and \$216,900 (3%) respectively. These four revenues account for 70.69% of the total General Fund revenues.

The fiscal year 2021-2022 original General Fund budget of \$7,281,645 is a 34.5% increase over the fiscal year 2020-2021 original budget.

Enterprise Activities

Operating revenues in the Enterprise Fund are generated primarily through the sale of water and sewer utilities. It is anticipated that \$3,983,479 will be generated in fiscal year 2021-2022. This represents 64.05% of the revenues in the Enterprise Fund. Other revenues include reuse water charges - \$74,880 (1.2%), credit card payment fees - \$10,000 (0.16%).

At \$6,219,162 the fiscal year 2021-2022 original Enterprise Fund Budget is 55.73% more than the fiscal year 2020-2021 original budget.

Requests for Information

This report is designed to provide an overview of the Town of Pittsboro's finances for those with an interest in this area. Questions concerning any of the information found in this report or requests for additional information should be directed to the Town Manager or Finance Officer.

Town of Pittsboro
P.O. Box 759
Pittsboro, North Carolina 27312
919-542- 4621
www.pittsboronc.gov

BASIC FINANCIAL STATEMENTS

TOWN OF PITTSBORO, NORTH CAROLINA
Statement of Net Position
June 30, 2021

Exhibit 1

	Primary Government			Town of Pittsboro ABC Board
	Governmental Activities	Business-type Activities	Total	
ASSETS				
Current assets:				
Cash and cash equivalents	\$ 6,526,116	\$ 4,762,428	\$ 11,288,544	\$ 261,960
Taxes receivables (net)	79,424	-	79,424	-
Accrued interest receivable on taxes	-	-	-	-
Accounts receivable	21,510	498,161	519,671	-
Due from other governments	444,467	143,305	587,772	-
Due from component unit	17,040	-	17,040	-
Inventories	-	-	-	136,703
Prepaid items	-	-	-	6,428
Restricted cash	1,147,411	140,077	1,287,488	461,163
Total current assets	8,235,968	5,543,971	13,779,939	866,254
Non-current assets:				
Capital assets:				
Land, non-depreciable improvements and construction in progress	2,921,844	1,723,607	4,645,451	6,750
Other capital assets, net of depreciation	2,683,142	9,982,584	12,665,726	61,232
Total capital assets	5,604,986	11,706,191	17,311,177	67,982
Total assets	13,840,954	17,250,162	31,091,116	934,236
DEFERRED OUTFLOWS OF RESOURCES				
Pension deferrals	722,743	386,931	1,109,674	-
Total deferred outflows of resources	722,743	386,931	1,109,674	-
LIABILITIES				
Current liabilities:				
Accounts payable and accrued liabilities	254,168	172,554	426,722	147,590
Accrued interest payable	-	5,134	5,134	-
Customer deposits	863,875	120,577	984,452	-
Current portion of long-term liabilities	115,879	127,942	243,821	-
Total current liabilities	1,233,922	426,207	1,660,129	147,590
Long-term liabilities:				
Net pension liability	814,784	589,930	1,404,714	-
Total pension liability	675,832	-	675,832	-
Due in more than one year	939,946	1,650,885	2,590,831	-
Total liabilities	3,664,484	2,667,022	6,331,506	147,590
DEFERRED INFLOWS OF RESOURCES				
Prepaid taxes	20,855	-	20,855	-
Deferred rent	450,000	-	450,000	-
OPEB deferrals	309,446	224,049	533,495	-
Pension deferrals	52,210	4,784	56,994	-
Total deferred inflows of resources	832,511	228,833	1,061,344	-
NET POSITION				
Net investment in capital assets	5,233,918	10,433,503	15,667,421	67,982
Restricted for:				
Stabilization by State Statue	483,017	-	483,017	-
Other functions	1,147,411	3,870,762	5,018,173	704,359
Unrestricted	3,202,356	436,973	3,639,329	14,305
Total net position	\$ 10,066,702	\$ 14,741,238	\$ 24,807,940	\$ 786,646

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Statement of Activities
For the year ended June 30, 2021

Exhibit 2

Functions/Programs	Expenses	Program Revenues			Net (Expense) Revenue and Changes in Net Position			
		Charges for	Operating	Capital Grants	Primary Government			Town of
		Services	Grants and	and	Governmental	Business-type	Total	Pittsboro
			Contributions	Contributions	Activities	Activities		ABC Board
Primary government:								
Governmental activities:								
General government	\$ 1,176,855	\$ 225,162	\$ 206,331	\$ -	\$ (745,362)	\$ -	\$ (745,362)	\$ -
Public safety	2,108,703	509	10,440	-	(2,097,754)	-	(2,097,754)	-
Transportation	728,639	-	123,012	-	(605,627)	-	(605,627)	-
Economic and physical development	278,367	-	165,042	-	(113,325)	-	(113,325)	-
Environmental protection	476,028	494,633	-	-	18,605	-	18,605	-
Cultural and recreation	96,129	705	23,075	-	(72,349)	-	(72,349)	-
Main street/downtown	96,000	-	-	-	(96,000)	-	(96,000)	-
Interest on long-term debt	7,626	-	-	-	(7,626)	-	(7,626)	-
Total governmental activities	<u>4,968,347</u>	<u>721,009</u>	<u>527,900</u>	<u>-</u>	<u>(3,719,438)</u>	<u>-</u>	<u>(3,719,438)</u>	<u>-</u>
Business-type activities:								
Water and sewer	<u>3,909,602</u>	<u>3,910,434</u>		<u>97,882.00</u>	<u>-</u>	<u>98,714</u>	<u>98,714</u>	<u>-</u>
Total primary government	<u>\$ 8,877,949</u>	<u>\$ 4,631,443</u>	<u>\$ 527,900</u>	<u>\$ 97,882</u>	<u>(3,719,438)</u>	<u>98,714</u>	<u>(3,620,724)</u>	<u>-</u>
Component unit								
ABC Board	<u>\$ 1,749,952</u>	<u>\$ 2,015,088</u>	<u>\$ -</u>	<u>\$ -</u>				<u>265,136</u>
General revenues:								
Taxes:								
Property taxes, levied for general purpose					2,599,133	-	2,599,133	-
Other taxes					1,867,270	-	1,867,270	-
Grants and contributions not restricted to specific programs					56,582	-	56,582	-
Unrestricted investment earnings					2,124	1,406	3,530	111
Miscellaneous					116,154	72,110	188,264	125
Transfers					-	-	-	(81,637)
Total general revenues and transfers					<u>4,641,263</u>	<u>73,516</u>	<u>4,714,779</u>	<u>(81,401)</u>
Change in net position					921,825	172,230	1,094,055	183,735
Net position, beginning					<u>9,144,877</u>	<u>14,569,008</u>	<u>23,713,885</u>	<u>602,911</u>
Net position, ending					<u>\$ 10,066,702</u>	<u>\$ 14,741,238</u>	<u>\$ 24,807,940</u>	<u>\$ 786,646</u>

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA

Exhibit 3

**Balance Sheet
Governmental Funds
June 30, 2021**

	<u>Major Fund</u>		<u>Total</u>
	<u>General</u>	<u>Total Non- Major Funds</u>	<u>Governmental Funds</u>
ASSETS			
Cash and cash equivalents	\$ 5,486,609	\$ 1,039,507	\$ 6,526,116
Restricted cash	1,147,411	-	1,147,411
Taxes receivable - net	79,424	-	79,424
Accounts receivable	21,510	-	21,510
Due from other governments	444,467	-	444,467
Due from component unit	17,040	-	17,040
Total assets	<u>\$ 7,196,461</u>	<u>\$ 1,039,507</u>	<u>\$ 8,235,968</u>
LIABILITIES			
Accounts payable and accrued liabilities	\$ 254,168	\$ -	\$ 254,168
Deposit	863,875	-	863,875
Total liabilities	<u>1,118,043</u>	<u>-</u>	<u>1,118,043</u>
DEFERRED INFLOWS OF RESOURCES			
Prepaid taxes, licenses and fees	20,855	-	20,855
Prepaid rent	450,000	-	450,000
Taxes receivable	79,424	-	79,424
Total deferred inflows of resources	<u>550,279</u>	<u>-</u>	<u>550,279</u>
FUND BALANCES			
Nonspendable:			
Prepaid items	-	-	-
Restricted:			
Stabilization by State Statute	483,017	-	483,017
Streets	123,587	-	123,587
Public Safety	145,520	-	145,520
General Government	863,875	-	863,875
Assigned:			
Subsequent year's expenditures	14,429	-	14,429
Capital Projects Funds	-	1,039,507	1,039,507
Unassigned	3,897,711	-	3,897,711
Total fund balances	<u>5,528,139</u>	<u>1,039,507</u>	<u>6,567,646</u>
Total liabilities, deferred inflows of resources and fund balances	<u>\$ 7,196,461</u>	<u>\$ 1,039,507</u>	<u>\$ 8,235,968</u>

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Reconciliation of the Balance Sheet - Governmental Funds to the
Statement of Net Position
June 30, 2021

Exhibit 3

Amounts reported for governmental activities in the Statement of Net Position (exhibit 1) are different because:

Total Fund Balance, Governmental Funds		\$ 6,567,646
Capital assets used in governmental activities are not financial resources and therefore are not reported in the funds.		
Gross capital assets at historical cost	\$ 9,198,124	
Accumulated depreciation	<u>(3,593,138)</u>	5,604,986
Contributions to the pension plan in the current fiscal year are deferred outflows of resources on the Statement of Net Position		722,743
Earned revenues considered deferred inflows of resources in fund statements.		79,424
Deferred inflows of resources related to OPEB are not reported in the funds		(309,446)
Long-term liabilities used in governmental activities are not financial uses and therefore are not reported in the funds		
Long-term debt included as net position below (includes the addition of long-term debt and principal payments during the year).		(474,812)
Pension related deferrals		(52,210)
Net pension liability		(814,784)
Total pension liability		(675,832)
OPEB liability		<u>(581,013)</u>
Net position of governmental activities		<u><u>\$ 10,066,702</u></u>

The accompanying notes to the financial statements are an integral part of these statements

TOWN OF PITTSBORO, NORTH CAROLINA
Statement of Revenues, Expenditures, and Changes in Fund Balances
Governmental Funds
For the Year Ended June 30, 2021

Exhibit 4

	<u>Major Fund</u>		<u>Total</u>
	<u>General Fund</u>	<u>Total Non-</u>	<u>Governmental</u>
		<u>Major Funds</u>	<u>Funds</u>
REVENUES			
Ad valorem taxes	\$ 2,617,365	\$ -	\$ 2,617,365
Other taxes and licenses	1,867,270	-	1,867,270
Unrestricted intergovernmental	56,582	-	56,582
Restricted intergovernmental	527,900	-	527,900
Permits and fees	88,144	-	88,144
Sales and services	632,865	-	632,865
Investment earnings	2,122	2	2,124
Miscellaneous	116,152	-	116,152
Total revenues	<u>5,908,400</u>	<u>2</u>	<u>5,908,402</u>
EXPENDITURES			
Current:			
General government	1,002,901	-	1,002,901
Public safety	2,154,823	-	2,154,823
Transportation	480,907	6,500	487,407
Economic and physical development	278,367	146,383	424,750
Environmental protection	476,028	-	476,028
Cultural and recreational	62,538	-	62,538
Main street/downtown	96,000	-	96,000
Debt service:			
Principal	78,424	-	78,424
Interest	7,625	-	7,625
Total expenditures	<u>4,637,613</u>	<u>152,883</u>	<u>4,790,496</u>
Excess (deficiency) of revenues over expenditures	<u>1,270,787</u>	<u>(152,881)</u>	<u>1,117,906</u>
OTHER FINANCING SOURCES (USES)			
Transfer from other funds	-	153,900	153,900
Transfer to other funds	(153,900)	-	(153,900)
Proceeds from loan	145,500	-	145,500
Total other financing sources (uses)	<u>(8,400)</u>	<u>153,900</u>	<u>145,500</u>
Net change in fund balance	1,262,387	1,019	1,263,406
Fund balances, beginning	<u>4,265,752</u>	<u>1,038,488</u>	<u>5,304,240</u>
Fund balances, ending	<u><u>\$ 5,528,139</u></u>	<u><u>\$ 1,039,507</u></u>	<u><u>\$ 6,567,646</u></u>

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balances
of Governmental Funds to the Statement of Activities
For the Year Ended June 30, 2021

Exhibit 4

Amounts reported for governmental activities in the statement of activities are different because:

Net changes in fund balances- total governmental funds	\$ 1,263,406
--	--------------

Governmental funds report capital outlays as expenditures. However, in the Statement of Activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense. This is the amount by which capital outlays exceeded depreciation in the current period.

Capital outlay expenditures which were capitalized	321,355	
Depreciation expense for governmental assets	<u>(373,750)</u>	(52,395)

Contributions to the pension plan in the current fiscal year are not included on the Statement of Activities	146,551
--	---------

OPEB benefit payments and administrative costs made in the current

The issuance of long-term debt provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes financial resources of governmental funds. Neither transaction has any effect on net position. This amount is the net effect of these differences in the treatment of long-term debt and related items.

New long-term debt issues	(145,500)	
Principal payments on long-term debt	<u>78,424</u>	(67,076)

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds.

Change in unavailable revenue for tax revenues	(18,232)
--	----------

Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in governmental funds.

Compensated absences	(33,775)	
Pension expense	(297,156)	
OPEB plan expense	<u>(19,498)</u>	<u>(350,429)</u>

Total changes in net position of governmental activities	<u>\$ 921,825</u>
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The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA

Exhibit 5

General Fund

Statement of Revenues, Expenditures, and Changes in Fund Balance - Budget to Actual
For the Year Ended June 30, 2021

	General Fund			Variance with Final Budget - Positive (Negative)
	Budget		Actual Amounts	
	Original	Final		
Revenues:				
Ad valorem taxes	\$ 2,486,661	\$ 2,486,661	\$ 2,617,365	\$ 130,704
Other taxes and licenses	1,460,050	1,460,050	1,867,270	407,220
Unrestricted intergovernmental	140,000	140,000	56,582	(83,418)
Restricted intergovernmental	355,224	561,555	527,900	(33,655)
Permits and fees	87,800	87,800	88,144	344
Sales and services	629,700	629,701	632,865	3,164
Investment earnings	3,000	3,000	2,122	(878)
Miscellaneous	70,000	120,000	116,152	(3,848)
Total revenues	5,232,435	5,488,767	5,908,400	419,633
Expenditures:				
Current:				
General government	1,211,269	1,261,390	1,002,901	258,489
Public safety	2,379,271	2,585,602	2,154,823	430,779
Transportation	651,134	665,439	480,907	184,532
Economic and physical development	293,028	293,028	278,367	14,661
Environmental protection	480,000	480,000	476,028	3,972
Cultural and recreational	215,970	215,970	62,538	153,432
Main street/downtown	96,000	96,000	96,000	-
Debt Service:				
Principal	78,424	78,425	78,424	1
Interest	7,625	7,626	7,625	1
Total expenditures	5,412,721	5,683,480	4,637,613	1,045,867
Revenues over (under) expenditures	(180,286)	(194,713)	1,270,787	1,465,500
Other financing sources (uses):				
Transfers to other funds	-	(153,900)	(153,900)	-
Proceeds from loan	145,500	145,500	145,500	-
Fund balance appropriated	34,786	203,113	-	(203,113)
Total other financing sources (uses)	180,286	194,713	(8,400)	(203,113)
Net change in fund balance	\$ -	\$ -	1,262,387	\$ 1,262,387
Fund balance, beginning			4,265,752	
Fund balance, ending			\$ 5,528,139	

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA

Exhibit 6

Statement of Net Position

Proprietary Fund

June 30, 2021

	Major Enterprise Fund
	Water and Sewer Fund
ASSETS	
Current assets:	
Cash and cash equivalents	\$ 4,762,428
Accounts receivable (net) - billed	438,702
Accounts receivable (net) - unbilled	59,459
Due from other governments	143,305
Restricted cash and cash equivalents	140,077
Total current assets	<u>5,543,971</u>
Noncurrent assets:	
Capital assets:	
Land and construction in progress	1,723,607
Other capital assets, net of depreciation	9,982,584
Total capital assets	<u>11,706,191</u>
Total noncurrent assets	<u>11,706,191</u>
Total assets	<u><u>\$ 17,250,162</u></u>
DEFERRED OUTFLOWS OF RESOURCES	
Contributions to pension plan in current fiscal year	<u>386,931</u>
LIABILITIES	
Current liabilities:	
Accounts payable and accrued liabilities	\$ 172,554
Accrued bond interest	5,134
Customer deposits	120,577
Current portion of long-term debt	127,942
Total current liabilities	<u>426,207</u>
Noncurrent liabilities:	
Accrued vacation	65,966
Total OPEB liability	420,673
Net pension liability	589,930
Non-current portion of long-term debt	1,164,246
Total noncurrent liabilities	<u>2,240,815</u>
Total liabilities	<u>2,667,022</u>
DEFERRED INFLOWS OF RESOURCES	
OPEB deferrals	224,049
Pension deferrals	4,784
Total deferred inflows of resources	<u>228,833</u>
NET POSITION	
Net investment in capital assets	10,433,503
Restricted for capital projects	3,870,762
Unrestricted	436,973
Total net position	<u><u>\$ 14,741,238</u></u>

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Statement of Revenues, Expenditures, and Changes in Fund Net Position
Proprietary Fund
For the Year Ended June 30, 2021

Exhibit 7

	<u>Major Enterprise Fund</u> <u>Water and Sewer Fund</u>
OPERATING REVENUES	
Water sales	\$ 1,820,899
Sewer charges	1,454,049
Reuse water charges	78,017
Miscellaneous	72,110
Total operating revenues	<u>3,425,075</u>
OPERATING EXPENSES	
Administrative	808,746
Water operations	1,171,401
Sewer treatment	659,161
Public utilities	672,179
Depreciation	580,847
Total operating expenses	<u>3,892,334</u>
Operating income (loss)	<u>(467,259)</u>
NONOPERATING REVENUES (EXPENSES)	
Investment earnings	1,406
Interest and other charges	(17,268)
Grant proceeds	97,882
Water and sewer access charges	557,469
Total nonoperating revenues (expenses)	<u>639,489</u>
Income (loss) before contributions and transfers	172,230
Transfer from other funds	2,002,784
Transfer to other funds	<u>(2,002,784)</u>
Change in net position	172,230
Total net position, beginning	<u>14,569,008</u>
Total net position, ending	<u><u>\$ 14,741,238</u></u>

The accompanying notes to the financial statements are an integral part of these statements.

TOWN OF PITTSBORO, NORTH CAROLINA
Statement of Cash Flows
Proprietary Fund
For the Year Ended June 30, 2021

Exhibit 8

	<u>Major Enterprise Fund</u>
	<u>Water and Sewer Fund</u>
CASH FLOWS FROM OPERATING ACTIVITIES	
Cash received from customers	\$ 3,235,849
Cash paid for goods and services	(1,936,935)
Cash paid to or on behalf of employees for services	(1,149,787)
Customer deposits received	(1,147)
Other operating revenues	72,110
Net cash provided (used) by operating activities	<u>220,090</u>
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES	
Capital contribution - access fees	557,469
Proceeds received from bonds/loan	19,500
Principal paid on bonds/loans	(121,706)
Interest paid on bonds/loans	(17,268)
Acquisition and construction of capital assets	(280,676)
Net cash provided (used) by capital and related financing activities	<u>157,319</u>
CASH FLOWS FROM INVESTING ACTIVITIES	
Interest on investments	<u>1,406</u>
Net increase (decrease) in cash and cash equivalents	378,815
Balances, beginning	<u>4,523,690</u>
Balances, ending	<u><u>\$ 4,902,505</u></u>
Reconciliation of operating income (loss) to net cash provided by operating activities	
Operating income (loss)	<u>\$ (467,259)</u>
Adjustments to reconcile operating income (loss) to net cash provided by operating activities:	
Depreciation	580,847
Changes in assets and liabilities:	
Decrease (increase) in accounts receivable	(130,112)
Decrease (increase) in due from other governments	12,996
Increase (decrease) in accounts payable and accrued liabilities	36,759
Decrease (increase) in prepaid items	13,966
Increase (decrease) in net pension liability	173,201
Increase (decrease) in customer deposits	(1,147)
Increase (decrease) in accrued vacation	2,042
(Increase) decrease in deferred outflows of resources for pensions	(115,201)
Increase (decrease) in deferred inflows of resources for pensions	(2,234)
Increase (decrease) in deferred inflows of resources - OPEB	198,442
Increase (decrease) in OPEB liability	(82,210)
Total adjustments	<u>687,349</u>
Net cash provided by operating activities	<u><u>\$ 220,090</u></u>

The accompanying notes to the financial statements are an integral part of these statements.

NOTES TO THE FINANCIAL STATEMENTS

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

I. Summary of Significant Accounting Policies

The accounting policies of the Town of Pittsboro (“the Town”) and its discretely presented component unit, the Town of Pittsboro ABC Board, conform to generally accepted accounting principles as applicable to governments. The following is a summary of the more significant accounting policies:

A. Reporting Entity

The Town of Pittsboro is a municipal corporation that is governed by an elected mayor and a five-member council. As required by generally accepted accounting principles, these financial statements present the Town and its component unit, a legally separate entity for which the Town is financially accountable. The discretely presented component unit presented below is reported in a separate column in the Town’s financial statements in order to emphasize that it is legally separate from the Town.

Town of Pittsboro ABC Board

The members of the ABC Board’s governing board are appointed by the Town. In addition, the ABC Board is required by State Statute to distribute its surpluses, if any, to the General Fund of the Town. The ABC Board, which has a June 30 year-end, is presented as if it were a proprietary fund (discrete presentation). Complete financial statements for the ABC Board may be obtained from the entity’s administrative offices at the Town of Pittsboro ABC Board, P.O. Box 642, Pittsboro, North Carolina 27312.

B. Basis of Presentation

Government-wide Financial Statements: The statement of net position and the statement of activities display information about the primary government and its component unit. These statements include the financial activities of the overall government. Eliminations have been made to minimize the double counting of internal activities. These statements distinguish between the *governmental* and *business-type activities* of the Town. Governmental activities generally are financed through taxes, intergovernmental revenues, and other non-exchange transactions. Business-type activities are financed in whole or in part by fees charged to external parties.

The statement of activities presents a comparison between direct expenses and program revenues for the different business-type activities of the Town and for each function of the Town’s governmental activities. Direct expenses are those that are specifically associated with a program or function and, therefore, are clearly identifiable to a particular function. Indirect expense allocations that have been made in the funds have been reversed for the statement of activities. Program revenues include (a) fees and charges paid by the recipients of goods or services offered by the programs and (b) grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues, including all taxes, are presented as general revenues.

Fund Financial Statements: The fund financial statements provide information about the Town’s funds. Separate statements for each fund category – *governmental and proprietary* – are presented. The Town has no fiduciary funds to report. The emphasis of fund financial statements is on major governmental and

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

I. Summary of Significant Accounting Policies (Continued)

B. Basis of Presentation (Continued)

enterprise funds, each displayed in a separate column. All remaining governmental and enterprise funds are aggregated and reported as non-major funds.

Proprietary fund operating revenues, such as charges for services, result from exchange transactions associated with the principal activity of the fund. Exchange transactions are those in which each party receives and gives up essentially equal values. Non-operating revenues, such as subsidies result from non-exchange transactions. Other non-operating revenues are ancillary activities such as investment earnings.

The Town reports the following major governmental fund:

General Fund. The General Fund is the general operating fund of the Town. The General Fund accounts for all financial resources except those that are required to be accounted for in another fund. The primary revenue sources are ad valorem taxes and various other taxes and licenses. The primary expenditures are for public safety, streets, sanitation, parks and recreation and general government services.

The Town reports the following non-major governmental fund:

Capital Projects Funds. The Capital Projects Funds were established to account for funds that are restricted for use for a particular purpose, mainly the acquisition of equipment, construction of special projects and renovations of the Town's capital assets. The projects include the Capital Projects Fund and the Town Hall Project.

The Town reports the following major enterprise fund:

Water and Sewer Fund. This fund is used to account for the Town's water and sewer operations.

C. Measurement Focus and Basis of Accounting

In accordance with North Carolina General Statutes, all funds of the Town are maintained during the year using the modified accrual basis of accounting.

Government-wide and Proprietary Fund Financial Statements. The government-wide and proprietary fund financial statements are reported using the economic resources measurement focus. The government-wide and proprietary fund financial statements are reported using the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded at the time liabilities are incurred, regardless of when the related cash flows take place. Non-exchange transactions, in which the Town gives (or receives) value without directly receiving (or giving) equal value in exchange, include property taxes, grants, and donations. On an accrual basis, revenue from property taxes is recognized in the fiscal year for which the taxes are levied. Revenue from grants and donations is recognized in the fiscal year in which all eligibility requirements have been satisfied.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

I. Summary of Significant Accounting Policies (Continued)

C. Measurement Focus and Basis of Accounting (Continued)

Amounts reported as program revenues include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include all taxes.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the Town's enterprise fund are charges to customers for sales and services. The Town also recognizes as operating revenue the portion of tap fees intended to recover the cost of connecting new customers to the water and sewer system. Operating expenses for the enterprise fund include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

Governmental Fund Financial Statements. Governmental funds are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Under this method, revenues are recognized when measurable and available. Expenditures are recorded when the related fund liability is incurred, except for principal and interest on general long-term debt, claims and judgments, and compensated absences, which are recognized as expenditures to the extent they have matured. General capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

The Town considers all revenues available if they are collected within 90 days after year-end, except for property taxes. Ad valorem taxes receivable are not accrued as revenue because the amount is not susceptible to accrual. At June 30, taxes receivable for property other than motor vehicles are materially past due and are not considered to be an available resource to finance the operations of the current year. Also, as of September 1, 2013, State law altered the procedures for the assessment and collection of property taxes on registered motor vehicles in North Carolina. Effective with this change in the law, the State of North Carolina is responsible for billing and collecting the property taxes on registered motor vehicles on behalf of all municipalities and special tax districts. Property taxes are due when vehicles are registered. The billed taxes are applicable for the fiscal year in which they are received. Uncollected taxes that were billed during this period prior to September 1, 2013 and for limited registration plates are shown as a receivable in these financial statements and are offset by deferred inflows of resources.

Sales taxes and certain intergovernmental revenues, such as the utilities franchise tax, collected and held by the State at year-end on behalf of the Town are recognized as revenue. Sales taxes are considered a shared revenue for the Town of Pittsboro because the tax is levied by Chatham County and then remitted to and distributed by the State. Most intergovernmental revenues and sales and services are not susceptible to accrual because generally they are not measurable until received in cash. Under the terms of grant agreements, the Town funds certain programs by a combination of specific cost-reimbursement grants,

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

I. Summary of Significant Accounting Policies (Continued)

categorical block grants, and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the Town's policy to first apply cost-reimbursement grant resources to such programs, followed by categorical block grants, and then general revenues.

D. Budgetary Data

The Town's budgets are adopted as required by the North Carolina General Statutes. An annual budget is adopted for the General Fund and the Water and Sewer Fund. All annual appropriations lapse at the fiscal year-end. Project ordinances are adopted for the Capital Projects Fund. All budgets are prepared using the modified accrual basis of accounting. Appropriations are made at the departmental level and are amended as necessary by the governing board. The manager may make interdepartmental transfers (limited to 10% of the department's budget) without Board approval. Expenditures may not legally exceed appropriations at the departmental level for all annually budgeted funds and at the object level for the multi-year funds. All amendments greater than 10% of a department's budget must be approved by the governing board and the Board must adopt an interim budget that covers that time until the annual ordinance can be adopted.

E. Assets, Liabilities, Deferred Outflows/Inflows of Resources, and Fund Equity

1. Deposits and Investments

All deposits of the Town and the ABC Board are made in board-designated official depositories and are secured as required by State law [G.S. 159-31]. The Town may designate, as an official depository, any bank or savings association whose principal office is located in North Carolina. Also, the Town and ABC Board may establish time deposit accounts such as NOW and SuperNOW accounts, money market accounts, and certificates of deposit.

State law [G.S. 159-30(c)] authorizes the City and the ABC Board to invest in obligations of the United States or obligations fully guaranteed both as to principal and interest by the United States, obligations of the State of North Carolina, bonds and notes of any North Carolina local government or public authority, obligations of certain non-guaranteed federal agencies, certain high quality issues of commercial paper and bankers' acceptances, and the North Carolina Capital Management Trust (NCCMT). The City's and the ABC Board's investments are generally reported at fair value. The NCCMT Government Portfolio, a SEC-registered (2a-7) money market mutual fund, is measured at fair value. Because the NCCMT Government has a weighted average maturity of less than 90 days, it is presented as an investment with a maturity of less than 6 months.

2. Cash and Cash Equivalents

The Town pools money from several funds to facilitate disbursement and investment and to maximize investment income. Therefore, all cash and investments are essentially demand deposits and are considered cash and cash equivalents. The Town and ABC Board consider all highly liquid investments (including restricted assets) with a maturity of three months or less when purchased to be cash and cash equivalents.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

I. Summary of Significant Accounting Policies (Continued)

3. Restricted Assets

The unexpended loan proceeds from a loan agreement entered into by the Town are classified as restricted assets because their use is completely restricted to the purposes of purchasing police vehicles. Customer deposits held by the Town before any services are supplied are restricted to the service for which the deposit was collected. Any unexpended balances of grant or loan funds for the Capital Projects Funds are classified as restricted assets in the appropriate fund because their use is completely restricted to the purpose for which the grants and/or loans were intended. Powell Bill funds are also classified as restricted cash because they can be expended only for the purposes of maintain, repairing, constructing, reconstructing or widening of local streets per G.S. 136-41.1 through 136-41.4.

Town of Pittsboro Restricted Cash

Governmental Activities

General Fund

Streets	\$ 123,587
General Government	863,875
Public Safety	<u>159,949</u>
Total Governmental Activities	<u>1,147,411</u>

Business-type Activities

Water and Sewer Fund

Unexpended loan proceeds	19,500
Customer deposits	<u>120,577</u>
Total Business-type Activities	<u>140,077</u>

Total Restricted Cash	<u>\$ 1,287,488</u>
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4. Ad Valorem Taxes Receivable

In accordance with State law [G.S. 105-347 and G.S. 159-13(a)], the Town levies ad valorem taxes on property other than motor vehicles on July 1st, the beginning of the fiscal year. The taxes are due on September 1st (lien date); however, interest does not accrue until the following January 6th. These taxes are based on the assessed values as of January 1, 2020. As allowed by State law, the Town has established a schedule of discounts that apply to taxes that are paid prior to the due date. In the Town's General Fund, ad valorem tax revenues are reported net of such discounts.

5. Allowances for Doubtful Accounts

All receivables that historically experience uncollectible accounts are shown net of an allowance for doubtful accounts. This amount is estimated by analyzing the percentage of receivables that were written off in prior years.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

I. Summary of Significant Accounting Policies (Continued)

6. Inventory and Prepaid Items

The inventories of the ABC Board are valued at cost (first-in, first-out), which approximates market. The inventories of the ABC Board consist of materials and supplies held for subsequent use. The cost of these inventories is expensed when consumed rather than when purchased.

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both government-wide and fund financial statements and expensed as the items are used.

7. Capital Assets

Capital assets are defined by the government as assets with an initial, individual cost of more than \$5,000. Purchased or constructed capital assets are reported at cost or estimated historical cost. Donated capital assets received prior to June 15, 2015 are recorded at their estimated fair value at the date of donation. Donated capital assets received after June 15, 2015 are recorded at acquisition value. All other purchased or constructed capital assets are reported at cost or estimated historical cost. General infrastructure assets acquired prior to July 1, 2003, consist of the road network and water and sewer system assets that were acquired or that received substantial improvements subsequent to July 1, 1980, and are reported at estimated historical cost using deflated replacement cost. The cost of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized.

Capital assets are depreciated using the straight-line method over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings and improvements	15 - 50 years
Furniture and equipment	5 - 40 years
Infrastructure	15 - 25 years
Vehicles	5 - 8 years

Property, plant, and equipment of the ABC Board are depreciated over their useful lives on a straight-line basis as follows:

Asset Class	Estimated Useful Lives
Buildings and leasehold improvements	5 - 30 years
Store and administrative equipment	7 years

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

I. Summary of Significant Accounting Policies (Continued)

8. Deferred Outflows/Inflows of Resources

In addition to assets, the statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, *Deferred Outflows of Resources*, represents a consumption of net position that applies to a future period and so will not be recognized as an expenditure until then. The Town has one item that meets this criterion, pension deferrals in the 2021 fiscal year. In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, *Deferred Inflows of Resources*, represents an acquisition of net position that applies to a future period and so will not be recognized as revenue until then. The Town has several items that met this criterion for this category – prepaid rent, prepaid property taxes, property taxes receivable and pension deferrals.

9. Long-Term Obligations

In the government-wide financial statements, and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the straight-line method that approximates the effective interest method. Bonds payable are reported net of the applicable bond premiums or discount. Bond issuance costs, except for prepaid insurance costs, are expensed in the reporting period in which they are incurred. Prepaid insurance costs are expensed over the life of the debt.

In fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

10. Compensated Absences

The vacation policy of the Town provides for the accumulation of up to thirty days earned vacation leave with such leave being fully vested when earned. For the Town's government-wide and proprietary funds, an expense and a liability for compensated absences and the salary-related payments are recorded as the leave is earned. The Town has assumed a first-in, first-out method of using accumulated compensated time. The portion of that time that is estimated to be used in the next fiscal year has been designated as a current liability in the government-wide financial statements.

The Town's sick leave policy provides for an unlimited accumulation of earned sick leave. Sick leave does not vest, but any unused sick leave accumulated at the time of retirement may be used in the determination of length of service for retirement benefit purposes. Since the Town does not have any obligation for the accumulated sick leave until it is actually taken, no accrual for sick leave has been made.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

I. Summary of Significant Accounting Policies (Continued)

11. Net Position/Fund Balances

Net Position

Net position in government-wide and proprietary fund financial statements are classified as net investment in capital assets; restricted; and unrestricted. Restricted net position represents constraints on resources that are either externally imposed by creditors, grantors, contributors, or laws or regulations of other governments or imposed by law through State Statute.

Fund Balances

In the governmental fund financial statements, fund balance is composed of five classifications designed to disclose the hierarchy of constraints placed on how fund balance can be spent.

The governmental fund types classify fund balances as follows:

Nonspendable Fund Balance – This classification includes amounts that cannot be spent because they are either (a) not in spendable form or (b) legally or contractually required to be maintained intact.

Prepaid Items – Portion of fund balance that is not an available resource because it represents the year-end balance of prepaid operational expenses on goods and services which is not a spendable resource.

Restricted Fund Balance – This classification includes amounts that are restricted to specific purposes externally imposed by creditors or imposed by law.

Restricted for Stabilization by State statute - North Carolina G.S. 159-8 prohibits units of government from budgeting or spending a portion of their fund balance. This is one of several statutes enacted by the North Carolina State Legislature in the 1930's that were designed to improve and maintain the fiscal health of local government units. Restricted by State statute (RSS), is calculated at the end of each fiscal year for all annually budgeted funds. The calculation in G.S. 159-8(a) provides a formula for determining what portion of fund balance is available for appropriation. The amount of fund balance not available for appropriation is what is known as "restricted by State statute". *Appropriated fund balance in any fund shall not exceed the sum of cash and investments minus the sum of liabilities, encumbrances, and deferred revenues arising from cash receipts, as those figures stand at the close of the fiscal year next preceding the budget.* Per GASB guidance, RSS is considered a resource upon which a restriction is "imposed by law through constitutional provisions or enabling legislation." RSS is reduced by inventories and prepaids as they are classified as nonspendable. Outstanding Encumbrances are included within RSS. RSS is included as a component of Restricted Net position and Restricted fund balance on the face of the balance sheet.

Restricted for Streets - Powell Bill portion of fund balance that is restricted by revenue source for street construction and maintenance expenditures. This amount represents the balance of the total unexpended Powell Bill funds.

Restricted for Public Safety – portion of fund balance that represents funds from the equitable sharing program and loan proceeds restricted for public safety.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

I. Summary of Significant Accounting Policies (Continued)

Restricted for General Government – portion of fund balance that represents loan proceeds restricted for general government use.

Committed Fund Balance –portion of fund balance that can only be used for specific purposes imposed by majority vote by quorum of the Town of Pittsboro’s governing body (highest level of decision-making authority). Any changes or removal of specific purpose requires majority action by the governing body. The governing body can, by adoption of an ordinance prior to the end of the fiscal year, commit fund balance. Once adopted, the limitation imposed by the ordinance remains in place until a similar action is taken (the adoption of another ordinance) to remove or revise the limitation.

Assigned Fund Balance – portion of fund balance that the Town of Pittsboro intends to use for specific purposes.

Assigned for Capital Projects Funds – portion of fund balance assigned by the Board of Commissioners for capital expenditures.

Subsequent Year’s Expenditures – portion of fund balance that is appropriated in the next year’s budget that is not already classified in restricted or committed. The governing body approves the appropriation; however, the budget ordinance authorizes the manager to modify the appropriation within a fund up to 10% of any department’s appropriation.

Unassigned Fund Balance – the portion of fund balance that has not been restricted, committed, or assigned to specific purposes or other funds.

The Town of Pittsboro does not have a formal revenue spending policy for programs with multiple revenue sources.

The Town of Pittsboro has not adopted a minimum fund balance policy for the General Fund.

12. Deferred Benefit Cost-Sharing Plans

For purposes of measuring the net pension asset, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Local Governmental Employees’ Retirement System (LGERS) and additions to/deductions from LGERS’ fiduciary net position have been determined on the same basis as they are reported by LGERS. For this purpose, plan member contributions are recognized in the period in which the contributions are due. The Town of Pittsboro’s employer contributions are recognized when due and the Town of Pittsboro has a legal requirement to provide the contributions. Benefits and refunds are recognized when due and payable in accordance with the terms of LGERS. Investments are reported at fair value.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds

A. Assets

1. Deposits

All the deposits of the Town and the ABC Board are either insured or collateralized by using one of two methods. Under the Dedicated Method, all deposits that exceed the federal depository insurance coverage level are collateralized with securities held by the Town's or the ABC Board's agents in these units' names. Under the Pooling Method, which is a collateral pool, all uninsured deposits are collateralized with securities held by the State Treasurer's agent in the name of the State Treasurer. Since the State Treasurer is acting in a fiduciary for the Town and the ABC Board, these deposits are considered to be held by the Town's and the ABC Board's agents in their names. The amount of the pledged collateral is based on an approved averaging method for non-interest bearing deposits and the actual current balance for interest-bearing deposits.

Depositories using the Pooling Method report to the State Treasurer the adequacy of their pooled collateral covering uninsured deposits. The State Treasurer does not confirm this information with the Town, the ABC Board, or the escrow agent. Because of the inability to measure the exact amounts of collateral pledged for the Town and the ABC Board under the Pooling Method, the potential exists for under-collateralization. This risk may increase in periods of high cash flows. However, the State Treasurer of North Carolina enforces strict standards of financial stability for each depository that collateralizes public deposits under the Pooling Method. The Town has no formal policy regarding custodial credit risk for deposits, but relies on the State Treasurer to enforce standards of minimum capitalization for all pooling method financial institutions and to monitor them for compliance. The Town complies with the provisions of G.S. 159-31 when designating official depositories and verifying that deposits are properly secured. The ABC Board has not adopted a formal policy regarding custodial risk for deposits.

At June 30, 2021, the Town's deposits had a carrying amount of \$9,302,131 and a bank balance of \$9,485,167. Of the bank balance, \$250,000 was covered by federal depository insurance and the remainder was covered by collateral held under the pooling method. The carrying amount of deposits for the ABC Board was \$722,123 and the bank balance was \$714,354. Of the bank balance, \$250,000 was covered by federal depository insurance and \$464,354 was covered by collateral under the pooling method. At June 30, 2021, the Town's petty cash fund totaled \$300.

2. Investments

At June 30, 2021, the Town had \$3,273,601 invested with the North Carolina Capital Management Trust's Cash Portfolio which carried a credit rating of AAAM by Standard and Poor's. The Town has no policy regarding credit risk of its investments.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

3. Receivables - Allowances for Doubtful Accounts

The amount of taxes receivable presented in the Balance Sheet and the Statement of Net Position includes penalties levied and outstanding in the amount of \$1,883.

The amounts presented in the Balance Sheet and the Statement of Net Position for the year ended June 30, 2021 is net of the following allowances for doubtful accounts:

General Fund:	
Taxes receivable	\$ -
Accounts receivable	-
Total General Fund	-
Water and Sewer Fund:	
Accounts receivable	<u>16,901</u>
Total	<u>\$ 16,901</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

4. Capital Assets

Primary Government

Capital asset activity for the Primary Government for the year ended June 30, 2021, was as follows:

	Beginning Balances	Increases	Decreases	Ending Balances
Governmental activities:				
Capital assets not being depreciated:				
Land	\$ 1,461,830	\$ -	\$ -	\$ 1,461,830
Construction in progress	1,307,131	152,883	-	1,460,014
Total capital assets not being depreciated	2,768,961	152,883	-	2,921,844
Capital assets being depreciated:				
Buildings	430,418	-	-	430,418
Furniture and equipment	1,034,111	-	290,244	743,867
Vehicles	1,210,812	168,472	212,509	1,166,775
Infrastructure	3,935,221	-	-	3,935,221
Total assets being depreciated	6,610,562	168,472	502,753	6,276,281
Less accumulated depreciation for:				
Buildings	207,540	9,533	-	217,073
Furniture and equipment	668,649	48,164	290,244	426,569
Vehicles	822,490	144,446	212,509	754,427
Infrastructure	2,023,464	171,607	-	2,195,071
Total accumulated depreciation	3,722,143	373,750	502,753	3,593,140
Total capital assets being depreciated, net	2,888,419			2,683,141
Total governmental activities capital assets, net	<u>\$ 5,657,380</u>			<u>\$ 5,604,985</u>

Depreciation expense was charged to functions/programs of the primary government as follows:

General government	\$ 21,061
Public safety	77,179
Transportation	244,183
Environmental protection	-
Recreation	31,327
	<u>\$ 373,750</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

	Beginning Balances	Increases	Decreases	Ending Balances
Business-type activities – Water and Sewer Fund:				
Capital assets not being depreciated:				
Land	\$ 10,200	\$ -	\$ -	\$ 10,200
Construction in progress	1,470,941	242,465	-	1,713,406
Total capital assets not being depreciated	1,481,141	242,465	-	1,723,606
Capital assets being depreciated:				
Buildings	163,682	-	-	163,682
Other improvements	20,132,172	31,256	-	20,163,428
Vehicles	49,998	-	-	49,998
Equipment	2,374,238	6,955	1,813,152	568,041
Total assets being depreciated	22,720,090	38,211	1,813,152	20,945,149
Less accumulated depreciation for:				
Buildings	136,519	4,220	-	140,739
Other improvements	9,939,144	521,101	-	10,460,245
Vehicles	7,500	10,000	-	17,500
Equipment	2,111,707	45,526	1,813,152	344,081
Total accumulated depreciation	12,194,870	580,847	1,813,152	10,962,565
Total capital assets being depreciated, net	10,525,221			9,982,584
Total governmental activities capital assets, net	<u>\$12,006,362</u>			<u>\$11,706,190</u>

Construction Commitments

The Town has no active construction commitments as of June 30, 2021.

Discretely presented component unit

Activity for the ABC Board for the year ended June 30, 2021, was as follows:

	Beginning Balances	Increases	Decreases	Ending Balances
Capital assets being depreciated:				
Buildings and leasehold improvements	\$ 193,707	\$ -	\$ -	\$ 193,707
Store and administrative equipment	63,147	2,495	-	65,642
Total assets being depreciated	256,854	2,495	-	259,349
Less accumulated depreciation:				
Total accumulated depreciation	180,449	10,918	-	191,367
Total ABC Board capital assets, net	<u>\$ 76,405</u>			<u>\$ 67,982</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

B. Liabilities

1. Pension Plan and Postemployment Obligations

a. Local Governmental Employees' Retirement System

Plan Description. The Town is a participating employer in the statewide Local Governmental Employees' Retirement System (LGERS), a cost-sharing multiple-employer defined benefit pension plan administered by the State of North Carolina. LGERS membership is comprised of general employees and local law enforcement officers (LEOs) of participating local governmental entities. Article 3 of G.S. Chapter 128 assigns the authority to establish and amend benefit provisions to the North Carolina General Assembly. Management of the plan is vested in the LGERS Board of Trustees, which consists of 13 members – nine appointed by the Governor, one appointed by the State Senate, one appointed by the State House or Representatives, and the State Treasurer and State Superintendent, who serve as ex-officio members. The Local Governmental Employees' Retirement System is included in the Annual Comprehensive Financial Report for the State of North Carolina. The State's Annual Comprehensive Financial Report includes financial statements and required supplementary information for LGERS. That report may be obtained by writing to the Office of the State Controller, 1410 Mail Service Center, Raleigh, North Carolina 27699-1410, or by calling (919) 981-5454, or at www.osc.nc.gov.

Benefits Provided. LGERS provides retirement and survivor benefits. Retirement benefits are determined as 1.85% of the member's average final compensation times the member's years of creditable service. A member's average final compensation is calculated as the average of a member's four highest consecutive years of compensation. Plan members are eligible to retire with full retirement benefits at age 65 with five years of creditable service, at age 60 with 25 years of creditable service, or at any age with 30 years of creditable service. Plan members are eligible to retire with partial retirement benefits at age 50 with 20 years of creditable service or at age 60 with five years of creditable service (age 55 for firefighters). Survivor benefits are available to eligible beneficiaries of members who die while in active service or within 180 days of their last day of service and who have either completed 20 years of creditable service regardless of age (15 years of creditable service for firefighters and rescue squad members who are killed in the line of duty) or have completed five years of service and have reached age 60. Eligible beneficiaries may elect to receive a monthly Survivor's Alternate Benefit for life or a return of the member's contributions. The plan does not provide for automatic post-retirement benefit increases. Increases are contingent upon actuarial gains of the plan.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

LGERS plan members who are LEOs are eligible to retire with full retirement benefits at age 55 with five years of creditable service as an officer, or at any age with 30 years of creditable service. LEO plan members are eligible to retire with partial retirement benefits at age 50 with 15 years of creditable service as an officer. Survivor benefits are available to eligible beneficiaries of LEO members who die while in active service or within 180 days of their last day of service and who also have either completed 20 years of creditable service regardless of age, or have completed 15 years of service as a LEO and have reached age 50, or have completed five years of creditable service as a LEO and have reached age 55, or have completed 15 years of creditable service as a LEO if killed in the line of duty. Eligible beneficiaries may elect to receive a monthly Survivor's Alternate Benefit for life or a return of the member's contributions.

Contributions. Contribution provisions are established by General Statute 128-30 and may be amended only by the North Carolina General Assembly. Town of Pittsboro employees are required to contribute 6% of their compensation. Employer contributions are actuarially determined and set annually by the LGERS Board of Trustees. The Town of Pittsboro's contractually required contribution rate for the year ended June 30, 2021, was 10.84% of compensation for law enforcement officers and 10.21% for general employees and firefighters, actuarially determined as an amount that, when combined with employee contributions, is expected to finance the costs of benefits earned by employees during the year. Contributions to the pension plan from the Town of Pittsboro were \$252,674 for the year ended June 30, 2021.

Refunds of Contributions – Town employees who have terminated service as a contributing member of LGERS, may file an application for a refund of their contributions. By state law, refunds to members with at least five years of service include 4% interest. State law requires a 60-day waiting period after service termination before the refund may be paid. The acceptance of a refund payment cancels the individual's right to employer contributions or any other benefit provided by LGERS.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2021, the Town reported a liability of \$1,404,714 for its proportionate share of the net pension liability. The net pension asset was measured as of June 30, 2020. The total pension liability used to calculate the net pension asset was determined by an actuarial valuation as of December 31, 2019. The total pension liability was then rolled forward to the measurement date of June 30, 2020 utilizing update procedures incorporating the actuarial assumptions. The Town's proportion of the net pension asset was based on a projection of the Town's long-term share of future payroll covered by the pension plan, relative to the projected future payroll covered by the pension plan of all participating LGERS employers, actuarially determined. At June 30, 2020, the Town's proportion was 0.03931%, which was an increase of 0.00083% from its proportion as of June 30, 2019.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

For the year ended June 30, 2021, the Town recognized pension expense of \$481,631. At June 30, 2021, the Town reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 177,391	\$ -
Changes of assumptions	104,538	-
Net difference between projected and actual earnings on pension plan investments	197,676	-
Changes in proportion and differences between Town contributions and proportionate share of contributions	11,406	11,391
Town contributions subsequent to the measurement date	252,674	-
Total	<u>\$ 743,685</u>	<u>\$ 11,391</u>

\$252,674 was reported as deferred outflows of resources related to pensions resulting from Town contributions subsequent to the measurement date will be recognized as an increase of the net pension asset in the year ended June 30, 2022. Other amounts reported as deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended June 30:

2022	\$ 133,074
2023	178,508
2024	109,536
2025	58,502
2026	-
Thereafter	-

Actuarial Assumptions. The total pension liability in the December 31, 2019 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	3.0 percent
Salary increases	3.50 to 8.10 percent, including inflation and productivity factor
Investment rate of return	7.00 percent, net of pension plan investment expense, including inflation

The plan currently uses mortality tables that vary by age, gender, employee group (i.e. general, law enforcement officer) and health status (i.e. disabled and healthy). The current mortality rates are based on published tables and based on studies that cover significant portions of the U.S. population. The healthy mortality rates also contain a provision to reflect future mortality improvements.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

The actuarial assumptions used in the December 31, 2019 valuation were based on the results of an actuarial experience study for the period January 1, 2010 through December 31, 2014.

Future ad hoc COLA amounts are not considered to be substantively automatic and are therefore not included in the measurement.

The projected long-term investment returns and inflation assumptions are developed through review of current and historical capital markets data, sell-side investment research, consultant whitepapers, and historical performance of investment strategies. Fixed income return projections reflect current yields across the U.S. Treasury yield curve and market expectations of forward yields projected and interpolated for multiple tenors and over multiple year horizons. Global public equity return projections are established through analysis of the equity risk premium and the fixed income return projections. Other asset categories and strategies' return projections reflect the foregoing and historical data analysis. These projections are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class as of June 30, 2020 are summarized in the following table:

<u>Asset Class</u>	<u>Target Allocation</u>	<u>Long-Term Expected Real Rate of Return</u>
Fixed Income	29.0%	1.4%
Global Equity	42.0%	5.3%
Real Estate	8.0%	4.3%
Alternatives	8.0%	8.9%
Credit	7.0%	6.0%
Inflation Protection	6.0%	4.0%
Total	100%	

The information above is based on 30-year expectations developed with the consulting actuary for the 2019 asset liability and investment policy study for the North Carolina Retirement Systems, including LGERS. The long-term nominal rates of return underlying the real rates of return are arithmetic annualized figures. The real rates of return are calculated from nominal rates by multiplicatively subtracting a long-term inflation assumption of 3.00%. All rates of return and inflation are annualized.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

Discount rate. The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed that contributions from plan members will be made at the current contribution rate and that contributions from employers will be made at statutorily required rates, actuarially determined. Based on these assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of the current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the Town's proportionate share of the net pension asset to changes in the discount rate. The following presents the Town's proportionate share of the net pension asset calculated using the discount rate of 7.00 percent, as well as what the Town's proportionate share of the net pension asset or net pension liability would be if it were calculated using a discount rate that is one percentage point lower (6.00 percent) or one percentage point higher (8.00 percent) than the current rate:

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
Town's proportionate share of the net pension liability (asset)	\$ 2,850,011	\$ 1,404,714	\$ 203,570

Pension plan fiduciary net position. Detailed information about the pension plan's fiduciary net position is available in the separately issued Annual Comprehensive Financial Report for the State of North Carolina.

b. Law Enforcement Officers Special Separation Allowance

1. Plan Description.

The Town of Pittsboro administers a public employee retirement system (the "Separation Allowance"), a single employer defined benefit pension plan that provides retirement benefits to the Town's qualified sworn law enforcement officers under the age of 62 who have completed at least 30 years of creditable service or have attained 55 years of age and have completed five or more years of creditable service. The Separation Allowance is equal to .85 percent of the annual equivalent of the base rate of compensation most recently applicable to the officer for each year of creditable service. The retirement benefits are not subject to any increases in salary or retirement allowances that may be authorized by the General Assembly. Article 12D of G.S. Chapter 143 assigns the authority to establish and amend benefit provisions to the North Carolina General Assembly.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

All full-time law enforcement officers of the Town are covered by the Separation Allowance. At December 31, 2020, the Separation Allowance's membership consisted of:

Retirees receiving benefits	2
Active plan members	12
Total	<u>14</u>

A separate report was not issued for the plan.

2. Summary of Significant Accounting Policies:

Basis of Accounting. The Town has chosen to fund the Separation Allowance on a pay as you go basis. Pension expenditures are made from the General Fund, which is maintained on the modified accrual basis of accounting. Benefits and refunds are recognized when due and payable in accordance with the terms of the plan.

The Separation Allowance has no assets accumulated in a trust that meets the following criteria which are outlined in GASB Statement 73.

3. Actuarial Assumptions

The entry age actuarial cost method was used in the December 31, 2019 valuation. The total pension liability in the December 31, 2019 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.5 percent
Salary increases	3.25 to 7.75 percent, including inflation and productivity factor
Discount rate	1.93 percent

The discount rate is based on the yield of the S&P Municipal Bond 20 Year High Grade Rate Index determined at the end of each month.

Mortality rates are based on the RP-2014 Mortality tables with adjustments for mortality improvements based on Scale AA.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

4. Contributions

The Town is required by Article 12D of G.S. Chapter 143 to provide these retirement benefits and has chosen to fund the amounts necessary to cover the benefits earned on a pay as you go basis through appropriations made in the General Fund operating budget. For the current year, the Town paid \$36,893 in benefits. The Town's obligation to contribute to this plan is established and may be amended by the North Carolina General Assembly. There were no contributions made by employees.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2021, the Town reported a total pension liability of \$675,832. The total pension liability was measured as of December 31, 2019 based on a December 31, 2019 actuarial valuation. The total pension liability was then rolled forward to the measurement date of December 31, 2020 utilizing update procedures incorporating the actuarial assumptions. For the year ended June 30, 2021, the Town recognized pension expense of \$65,074.

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 25,569	\$ 34,915
Changes of assumptions and other inputs	162,763	10,688
Benefit payments and administrative expenses subsequent to the measurement date	-	-
Total	<u>\$ 188,332</u>	<u>\$ 45,603</u>

\$0 reported as deferred outflows of resources related to pensions resulting from benefit payments made and administrative expenses incurred subsequent to the measurement date will be recognized as a decrease of the total pension liability in the year ended June 30, 2020. Other amounts reported as deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended June 30:

2022	\$ 27,241
2023	28,270
2024	22,529
2025	26,946
2026	32,258
Thereafter	5,485

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

Sensitivity of the Town's total pension liability to changes in the discount rate. The following presents the Town's total pension liability calculated using the discount rate of 1.93 percent, as well as what the Town's total pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (0.93 percent) or 1-percentage-point higher (2.93 percent) than the current rate:

	1% Decrease (0.93%)	Discount Rate (1.93%)	1% Increase (2.93%)
Town's proportionate share of the net pension liability (asset)	\$ 738,811	\$ 675,832	\$ 618,995

Schedule of Changes in Total Pension Liability
Law Enforcement Officers' Special Separation Allowance

Beginning balance	\$ 475,678
Service Cost	23,108
Interest on the total pension liability	14,906
Changes of benefit terms	-
Differences between expected and actual experience in the measurement of the total pension liability	26,270
Changes of assumptions or other inputs	172,763
Benefit payments	(36,893)
Other changes	-
Total	<u><u>\$ 675,832</u></u>

The plan currently uses mortality tables that vary by age, and health status (i.e. disabled and healthy). The current mortality rates are based on published tables and based on studies that cover significant portions of the U.S. population. The healthy mortality rates also contain a provision to reflect future mortality improvements.

The actuarial assumptions used in the December 31, 2019 valuation were based on the results of an actuarial experience study for the period January 1, 2010 through December 31, 2014.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

Total Expense, Liabilities, and Deferred Outflows and Inflows of Resources of Related to Pensions

Following is information related to the proportionate share and pension expense for all pension plans:

	LGERS	LEOSSA	Total
Pension Expense	\$ 481,631	\$ 65,074	\$ 546,705
Pension Liability	1,404,714	675,832	2,080,546
Proportionate share of the net pension liability	0.03931%	n/a	
Deferred Outflows of Resources			
Differences between expected and actual experience	177,391	25,569	202,960
Changes of assumptions	104,538	162,763	267,301
Net difference between projected and actual earnings on plan investments	197,676	-	197,676
Changes in proportion and differences between Town contributions and proportionate share of contributions	11,406	-	11,406
Town benefit payments and plan administrative expense made subsequent to the measurement date	252,674	-	252,674
Deferred Inflows of Resources			
Differences between expected and actual experience	-	34,915	34,915
Changes of assumptions	-	10,688	10,688
Net difference between projected and actual earnings on plan investments	-	-	-
Changes in proportion and differences between Town contributions and proportionate share of contributions	11,391	-	11,391

c. Supplemental Retirement Income Plan for Law Enforcement Officers

Plan Description. The Town contributes to the Supplemental Retirement Income Plan (Plan), a defined contribution pension plan administered by the Department of State Treasurer and a Board of Trustees. The Plan provides retirement benefits to law enforcement officers employed by the Town. Article 5 of G.S. Chapter 135 assigns the authority to establish and amend benefit provisions to the North Carolina General Assembly. The Supplemental Retirement Income Plan for Law Enforcement Officers is included in the Annual Comprehensive Financial Report for the State of North Carolina. The State's Annual Comprehensive Financial Report includes the pension trust fund financial statements for the Internal Revenue Code Section 401(k) plan that includes the Supplemental Retirement Income Plan for Law Enforcement Officers. That report may be obtained by writing to the Office of the State Controller, 1410 Mail Service Center, Raleigh, North Carolina 27699-1410, or by calling (919) 981-5454.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

Funding Policy. Article 12E of G.S. Chapter 143 requires the Town to contribute each month an amount equal to five percent of each officer's salary, and all amounts contributed are vested immediately. Also, the law enforcement officers may make voluntary contributions to the Plan. Contributions for the year ended June 30, 2021 were \$49,576, which consisted of \$34,006 from the Town and \$15,570 from the law enforcement officers.

d. Section 401(k) Plan for General Employees

Plan Description. The Town contributes to a 401(k) Plan, a defined contribution plan administered by the Prudential Insurance Company of America. The Plan provides retirement benefits to the general employees, other than law enforcement, employed by the Town.

Funding Policy. The Town annually determines the amount of contributions. For the year ended June 30, 2021, the Town contributed five percent (5.0%) on each general employee's salary. Also, the general employees may make voluntary contributions to the Plan. Contributions for the year ended June 30, 2021 were \$124,537, which consisted of \$87,833 from the Town and \$36,704 from the general employees.

e. Other Postemployment Benefits

Healthcare Benefits

Plan Description. Under the terms of a Town resolution, the Town administers a single employer defined benefit Healthcare Benefits Plan (the HCB Plan). The Town Board has the authority to establish and amend the benefit terms and financing requirements. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement 75.

Benefits Provided. Prior to July 1, 2007, retirees qualified for benefits similar to those of employees after a minimum of five years of creditable service with the Town. The Town pays the full cost of coverage for employees' benefits through private insurers and employees have the option of purchasing dependent coverage at the Town's group rates. Employees hired on or after July 1, 2007 who retire with a minimum of 20 years of creditable service also have the option of purchasing coverage for themselves and dependents at the Town's group rate. Employees hired on or after July 1, 2007 who retire with less than 20 years of service are not eligible for postemployment coverage. Retirees who qualify for coverage receive the same benefits as active employees. Coverage for all retirees who are eligible for Medicare will be transferred to a Medicare Supplemental plan after qualifying for Medicare. The Town Council may amend the benefit provisions. A separate report was not issued for the plan.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

e. Other Postemployment Benefits (Continued)

Retired Employees' Years of Creditable Service	Date Hired	
	Pre-July 1, 2007	On or after July 1, 2007
Less than 5 years	Not eligible for coverage	Not eligible for coverage
5 - 20 years	Full coverage paid for by City	Not eligible for coverage
20+ years	Full coverage paid for by City	Full coverage paid for by City

Membership of the HCB Plan consisted of the following at June 30, 2020, the date of the latest actuarial valuation:

	General Employees:	Law Enforcement Officers:
Retirees and dependents receiving benefits	8	1
Terminated plan members entitled to but not yet receiving benefits	0	0
Active plan members	32	12
Total	40	13

Total OPEB Liability

The Town's total OPEB liability of \$1,001,686 was measured as of June 30, 2020 and was determined by an actuarial valuation as of that date.

Actuarial assumptions and other inputs. The total OPEB liability in the June 30, 2020 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement unless otherwise specified:

Inflation	2.5 percent
Salary increases	3.5 – 7.75% percent, average, including inflation
Discount rate	2.21 percent
Healthcare cost trend rates	Pre-Medicare – 7.0%

The discount rate is based on the yield of the S&P Municipal Bond 20 Year High Grade Rate Index as of the measurement date.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

Changes in the Total OPEB Liability (Continued)

Changes in the Total OPEB Liability

Beginning balance	\$ 1,268,111
Service Cost	108,840
Interest	47,861
Changes of benefit terms	-
Differences between expected and actual experience	(547,412)
Changes of assumptions or other inputs	143,437
Benefit payments	(19,152)
Total	<u>\$ 1,001,685</u>

Changes in assumptions and other inputs reflect a change in the discount rate from 3.50% to 2.21%.

Mortality rates were based on the RP-2014 Total Data Set for Healthy Annuitants Mortality Table.

The actuarial assumptions used in the June 30, 2020 valuation were based on the results of an actuarial experience study for the period January 2010 through December 2014.

Sensitivity of the total OPEB liability to changes in the discount rate. The following presents the total OPEB liability of the Town, as well as what the Town's total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (1.21 percent) or 1-percentage-point higher (3.21 percent) than the current discount rate:

		<u>Current</u>	
Total OPEB Liability	\$ 841,886	\$ 1,001,686	\$ 1,201,948

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates. The following presents the total OPEB liability of the Town, as well as what the Town's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower or 1-percentage-point higher than the current healthcare cost trend rates:

	<u>(1.21%)</u>	<u>(2.21%)</u>	<u>(3.21%)</u>
Total OPEB Liability	\$ 1,135,231	\$ 1,001,686	\$ 884,949

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB

For the year ended June 30, 2021, the Town recognized OPEB expense of \$104,115. At June 30, 2021, the Town reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	<u>of Resources</u>	<u>of Resources</u>
Differences between expected and actual experience	\$ -	\$ 499,910
Changes of assumptions and other inputs	177,657	33,585
Benefit payments and administrative expenses subsequent to the measurement date	-	-
Total	<u>\$ 177,657</u>	<u>\$ 533,495</u>

\$0 reported as deferred outflows of resources related to pensions resulting from benefit payments made and administrative expenses incurred subsequent to the measurement date will be recognized as a decrease of the total pension liability in the year ended June 30, 2022. Other amounts reported as deferred inflows of resources related to pensions will be recognized in pension expense as follows:

2022	\$ (52,586)
2023	(52,586)
2024	(52,586)
2025	(52,586)
2026	(44,399)
Thereafter	(101,095)

2. Other Employment Benefits

The Town has elected to provide death benefits to employees through the Death Benefit Plan for members of the Local Governmental Employees' Retirement System (Death Benefit Plan), a multiple-employer, State-administered, cost-sharing plan funded on a one-year term cost basis. The beneficiaries of those employees who die in active service after one year of contributing membership in the System, or who die within 180 days after retirement or termination of service and have at least one year of contributing membership service in the System at the time of death are eligible for death benefits. Lump sum death benefit payments to beneficiaries are equal to the employee's 12 highest months' salary in a row during the 24 months prior to the employee's death, but the benefit may not exceed \$50,000 or be less than \$25,000. All death benefit payments are made from the Death Benefit Plan. The Town has no liability beyond the payment of monthly contributions.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

The contributions to the Death Benefit Plan cannot be separated between the post-employment benefit amount and the other benefit amount. The Town considers these contributions to be immaterial.

3. Deferred Outflows and Inflows of Resources

The Town has several deferred outflows of resources. Deferred outflows of resources is comprised of the following:

<u>Source</u>	<u>Amount</u>
Contributions to pension plan in current fiscal year	\$ 1,109,674

Deferred inflows of resources at year-end is comprised of the following:

	<u>Statement of Net Position</u>	<u>General Fund Balance Sheet</u>
Prepaid taxes (General Fund)	\$ 20,855	\$ 20,855
Deferred rent	450,000	450,000
Taxes Receivable, less penalties (General Fund)	-	79,424
OPEB deferrals	533,495	-
Pension deferrals	56,994	-
Total	<u>\$ 1,061,344</u>	<u>\$ 550,279</u>

4. Risk Management

The Town is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The Town participates in three (3) self-funded risk financing pools administered by the North Carolina League of Municipalities. Through these pools, the Town obtains general liability and auto liability coverage of \$1,000,000 per occurrence, property coverage up to the total insurance values of the property policy, workers' compensation coverage up to statutory limits, and employee health coverage. The liability and property exposures are reinsured through commercial carriers for claims in excess of retentions as selected by the Board of Trustees each year. Stop loss insurance is purchased by the Board of Trustees to protect against medical claims that exceed certain dollar cost levels. Specific information on the limits of the reinsurance, excess and stop loss policies purchased by the Board of Trustees can be obtained by contacting the Risk Management Services Department of the NC League of Municipalities. The pools are audited annually by certified public accountants, and the audited financial statements are available to the Town upon request.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

The Town carries commercial insurance for all other risks of loss. There have been no significant reductions in insurance coverage from the prior year, and settled claims have not exceeded coverage in any of the past three fiscal years.

The Town carries flood insurance through the National Flood Insurance Plan (NFIP). Because the Town is in an area of the State that has been mapped and designated an “A” area (an area close to a river, lake or stream) by the Federal Emergency Management Agency, the Town is eligible to purchase coverage of \$500,000 per structure through the NFIP. The Town also is eligible to and has purchased commercial flood insurance for another \$5,000,000 of coverage per structure.

In accordance with G.S. 159-29, the Town’s employees that have access to \$100 or more at any given time of the Town’s funds are performance bonded through a commercial surety bond. The finance officer, town clerk and mayor are all bonded for \$50,000 each through a commercial surety bond. The remaining employees that have access to funds are bonded under a blanket bond for \$250,000.

5. Claims, Judgments and Contingent Liabilities

The Town is contingently liable in respect to other claims in the normal course of its operations. Should the Town become liable in these matters, such liability would be satisfied by budgetary appropriation in excess of insurance coverage in a subsequent year.

6. Long-Term Obligations

a. General Obligation Indebtedness

General obligation bonds issued to finance the construction of facilities utilized in the operations of the water and sewer system and which are being retired by its resources are reported as long-term debt in the Water and Sewer Fund. All general obligation bonds are collateralized by the full faith, credit, and taxing power of the Town. Principal and interest requirements are appropriated when due.

Bonds payable at June 30, 2021 are comprised of the following individual issues:

General Obligation Bonds

Serviced by the Water and Sewer Fund:

Water and Sewer Bonds (FHA); issued November 1, 1994; maturing serially to June 1, 2034; interest at 5.25%.

\$ 276,000

\$ 276,000

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

Annual debt service requirements to maturity for long-term obligations are as follows:

Year ended June 30:	<u>General Obligation Bonds</u>	
	<u>Principal</u>	<u>Interest</u>
2022	\$ 18,000	\$ 14,490
2023	19,000	13,545
2024	20,000	12,548
2025	21,000	11,498
2026	22,000	10,395
2027-2031	110,000	34,650
2032-2036	66,000	6,930
	<u>\$ 276,000</u>	<u>\$ 104,056</u>

Notes Payable

Serviced by the General Fund:

Direct note payable with a financial institution to finance the purchase of vehicles; issued on August 10, 2018; due in annual installments of \$49,010 including interest at 3.04%; matures August 10, 2022; secured by vehicles. Split between the general and water and sewer funds. \$ 80,854

Direct note payable with a financial institution to finance the purchase of vehicles; issued on September 23, 2020; due in annual installments of \$40,051 including interest at 1.97%; matures September 23, 2024; secured by vehicles. Split between the general and water and sewer funds. 145,500

Direct note payable with a financial institution to finance the purchase of vehicles; issued on September 5, 2019; due in annual installments of \$58,102 including interest at 2.42%; matures September 5, 2023; secured by vehicles. Split between the general and water and sewer funds. 125,214

\$ 351,568

Serviced by the Water and Sewer Fund:

Direct placement ARRA Federal Revolving Loan; issued August 4, 2009; due in twenty annual installments of \$62,319 beginning on May 1st after the project has been completed for six months; non-interest bearing; maximum amount of loan is \$1,246,370; project was completed in December 2010. \$ 547,238

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

Notes Payable (Continued)

Direct note payable with a financial institution to finance the purchase of vehicles; issued on August 10, 2018; due in annual installments of \$49,010 including interest at 3.04%; matures August 10, 2022; secured by vehicles. Split between the general and water and sewer funds.

12,866

Direct placement DEQ Federal Revolving Loan; issued November 29, 2016; due in twenty annual installments of \$24,729 beginning on May 1st after the project has been completed for six months; non-interest bearing; maximum amount of loan is \$494,500.

395,600

Direct note payable with a financial institution to finance the purchase of vehicles; issued on September 23, 2020; due in annual installments of \$40,051 including interest at 1.97%; matures September 23, 2024; secured by vehicles. Split between the general and water and sewer funds.

19,500

Direct note payable with a financial institution to finance the purchase of vehicles; issued on September 5, 2019; due in annual installments of \$58,102 including interest at 2.42%; matures September 5, 2023; secured by vehicles. Split between the general and water and sewer funds.

40,984

\$ 1,016,188

Annual debt service requirements to maturity for long-term obligations are as follows:

Year ended June 30:	Notes Payable		Notes Payable	
	Principal	Interest	Principal	Interest
2022	\$ 115,879	\$ 8,354	\$ 109,942	\$ -
2023	118,772	5,462	110,552	-
2024	79,462	2,495	104,441	-
2025	37,455	738	90,547	-
2026	-	-	85,530	-
2027-2031	-	-	366,845	-
2032-2036	-	-	123,625	-
2037	-	-	24,706	-
	<u>\$ 351,568</u>	<u>\$ 17,049</u>	<u>\$ 1,016,188</u>	<u>\$ -</u>

The Town has a legal debt margin of \$46,440,210 at June 30, 2021.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

b. Change in Long-Term Liabilities

	Beginning			Ending	Current Portion
	Balance	Increases	Decreases	Balance	of Balance
<i>Governmental activities:</i>					
Direct Notes Payable	\$ 284,492	\$ 145,500	\$ 78,424	\$ 351,568	\$ 115,879
Net pension liability (LGERS)	634,130	180,654	-	814,784	-
Total pension liability (LEO)	475,678	200,154	-	675,832	-
Compensated absences	89,467	33,777	-	123,244	-
Total OPEB liability	765,229	-	184,216	581,013	-
Governmental activity long-term liabilities	<u>\$2,248,996</u>	<u>\$ 560,085</u>	<u>\$ 262,640</u>	<u>\$2,546,441</u>	<u>\$ 115,879</u>
<i>Business-type activities:</i>					
<u>Water and Sewer Fund</u>					
General obligation bonds	\$ 293,000	\$ -	\$ 17,000	\$ 276,000	\$ 18,000
Direct Notes Payable	1,101,394	19,500	104,706	1,016,188	109,942
Net pension liability (LGERS)	416,729	173,201	-	589,930	-
Compensated absences	63,925	2,042	-	65,967	-
Total OPEB liability	502,883	-	82,210	420,673	-
Water and Sewer Fund long-term liabilities	<u>\$2,377,931</u>	<u>\$ 194,743</u>	<u>\$ 203,916</u>	<u>\$2,368,758</u>	<u>\$ 127,942</u>
Business activity long-term liabilities	<u>\$2,377,931</u>	<u>\$ 194,743</u>	<u>\$ 203,916</u>	<u>\$2,368,758</u>	<u>\$ 127,942</u>

The ABC Board had no long-term debt at June 30, 2021.

c. Interfund Balances and Activity

- Transfer from the General Fund to the Town Hall project fund for project expenditures \$ 10,900
- Transfer from the General Fund to the Traffic Circle project fund for project expenditures \$ 93,000
- Transfer from the Water and Sewer Capital Fund to the Sanford Forcemain Project for project expenditures \$ 245,596
- Transfer from the Water and Sewer Capital Reserve Fund to the Water and Sewer Fund for capital projects \$ 529,269
- Transfer from the Water and Sewer Fund to the Water Plant Improvement Project for project expenditures \$1,200,000

Transfers are used to move unrestricted revenues to finance various programs that the government must account for in other funds in accordance with budgetary authorizations, including amounts providing matching funds for various grant programs.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

II. Detail Notes on All Funds (Continued)

d. Net Investment in Capital Assets

Governmental activities:

Total capital assets	\$ 5,604,986
Less: Notes payable	<u>351,568</u>
	<u>\$ 5,253,418</u>

Business-type activities:

Total capital assets	\$ 11,706,191
Add: unused loan proceeds	19,500
Less: Bonds payable	276,000
Notes payable	<u>1,016,188</u>
	<u>\$ 10,433,503</u>

e. Fund Balance

The following schedule provides management and citizens with information on the portion of General Fund balance that is available for appropriation:

Total fund balance-General Fund	\$ 5,528,139
Less:	
Non spendable – prepaid items	-
Stabilization by State Statute	483,017
Streets-Powell Bill	123,587
Public Safety	145,520
General Government	863,875
Appropriated Fund Balance in 2021 budget	14,429
Remaining Fund Balance	<u>\$ 3,202,356</u>

The outstanding encumbrances are amounts needed to pay any commitments related to purchase orders and contracts that remain unperformed at year-end.

The Town had no encumbrances at June 30, 2021.

TOWN OF PITTSBORO, NORTH CAROLINA
Notes to the Financial Statements
For the Year Ended June 30, 2021

III. Jointly Governed Organization

The Town, in conjunction with various counties and other municipalities, established the Triangle J Council of Governments (Council). The participating governments established the Council to coordinate various funding received from federal and State agencies. Each participating government appoints one member of the Council's governing board. The Town paid membership fees of \$1,800 to the Council during the year ended June 30, 2021.

IV. Summary Disclosure of Significant Contingencies

Federal and State Assisted Programs

The Town has received proceeds from several federal and State grants. Periodic audits of these grants are required and certain costs may be questioned as not being appropriate expenditures under the grant agreements. Such audits could result in the refund of grant monies to the grantor agencies. Management believes that any required refunds will be immaterial. No provision has been made in the accompanying financial statements for the refund of grant monies.

V. Significant Effects of Subsequent Events

Subsequent events have been evaluated December 1, 2021, the date which the financial statements were available to be issued. There were no recognized events meriting disclosure.

As of the date of issuance of the Town's audit, there is a pandemic situation regarding the COVID-19 virus. The Town is monitoring the effect of this pandemic on its financial operations. At this time, management has evaluated the situation and has concluded no additional disclosures are warranted.

REQUIRED SUPPLEMENTAL FINANCIAL DATA

TOWN OF PITTSBORO, NORTH CAROLINA
Town of Pittsboro's Proportionate Share of Net Pension Liability (Asset)
Required Supplementary Information
Last Eight Fiscal Years*

Schedule 1

Local Government Employees' Retirement System

	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>	<u>2014</u>
Pittsboro's proportion of the net pension liability (asset) (%)	0.0393%	0.0385%	0.0356%	0.0377%	0.0366%	0.0348%	-0.0359%	0.0355%
Pittsboro's proportion of the net pension liability (asset) (\$)	\$ 1,404,714	\$ 1,050,859	\$ 845,028	\$ 575,798	\$ 776,774	\$ 156,359	\$ (211,601)	\$ 427,911
Pittsboro's covered-employee payroll	\$ 2,544,219	\$ 2,408,038	\$ 2,166,530	\$ 2,175,276	\$ 2,030,243	\$ 1,893,809	\$ 1,821,230	\$ 1,861,303
Pittsboro's proportionate share of the net pension liability (asset) as a percentage of its covered payroll	55.21%	43.64%	39.00%	26.47%	38.26%	8.26%	-11.62%	22.99%
Plan fiduciary net position as a percentage of the total pension liability **	91.63%	94.18%	91.47%	98.09%	99.07%	102.64%	94.35%	96.45%

* The amount presented for each fiscal year were determined as of the prior fiscal year ending June 30.

** This will be the same percentage for all participant employers in the LGERS plan.

TOWN OF PITTSBORO, NORTH CAROLINA
Town of Pittsboro's Contributions
Required Supplementary Information
Last Eight Fiscal Years*

Schedule 2

Local Government Employees' Retirement System

	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>	<u>2014</u>
Contractually required contribution	\$ 252,674	\$ 234,163	\$ 194,221	\$ 155,389	\$ 151,018	\$ 138,781	\$ 136,371	\$ 133,161
Contributions in relation to the contractually required contribution	<u>252,674</u>	<u>234,163</u>	<u>194,221</u>	<u>155,389</u>	<u>151,018</u>	<u>138,781</u>	<u>136,371</u>	<u>133,161</u>
Contribution deficiency (excess)	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Pittsboro's covered-employee payroll	\$ 2,432,825	\$ 2,544,219	\$ 2,408,038	\$ 2,166,530	\$ 2,175,276	\$ 2,030,243	\$ 1,893,809	\$ 1,821,230
Contribution as a percentage of covered-employee payroll	10.39%	9.20%	8.07%	7.17%	6.94%	6.84%	7.20%	7.31%

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Changes in Total Pension Liability
Law Enforcement Officer's Special Separation Allowance
June 30, 2021

Schedule 3

	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>
Beginning balance	\$ 475,678	\$ 490,157	\$ 493,116	\$ 439,178	\$ 441,964
Service Cost	23,108	20,355	20,931	16,024	18,353
Interest on the total pension liability	14,906	17,541	15,321	16,633	15,302
Changes of benefit terms	-	-	-	-	-
Differences between expected and actual experience in the measurement of the total pension liability	26,270	(49,873)	(4,101)	10,929	-
Changes of assumptions or other inputs	172,763	14,031	(18,577)	26,885	(9,767)
Benefit payments	(36,893)	(16,533)	(16,533)	(16,533)	(26,674)
Other changes	-	-	-	-	-
Ending balance of the total pension liability	<u>\$ 675,832</u>	<u>\$ 475,678</u>	<u>\$ 490,157</u>	<u>\$ 493,116</u>	<u>\$ 439,178</u>

The amounts presented for each fiscal year were determined as of the prior fiscal year ending December 31.

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Total Pension Liability as a Percentage of Covered Payroll
Law Enforcement Officer's Special Separation Allowance
June 30, 2021

Schedule 4

	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>
Total pension liability	\$ 675,832	\$ 475,678	\$ 490,157	\$ 493,116	\$ 439,178
Covered payroll	798,544	695,133	619,020	581,502	648,714
Total pension liability as a percentage of covered payroll	84.63%	68.43%	79.18%	84.80%	67.70%

Notes to the schedules:

The Town of Pittsboro has no assets accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement 73 to pay related benefits.

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Changes in the Total OPEB Liability and Related Ratios
June 30, 2021

Schedule 5

	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>
Total OPEB Liability				
Service cost	\$ 108,840	\$ 100,775	\$ 80,451	\$ 86,762
Interest	47,861	42,115	35,111	28,681
Changes of benefit terms	-	-	-	-
Differences between expected and actual experience	(547,412)	(6,822)	(19,811)	(2,609)
Changes of assumptions	143,437	56,191	14,053	(66,757)
Benefit payments	(19,152)	(13,440)	(13,440)	(11,946)
Net change in total OPEB liability	<u>(266,426)</u>	<u>178,819</u>	<u>96,364</u>	<u>34,131</u>
Total OPEB liability - beginning	<u>1,268,111</u>	<u>1,089,292</u>	<u>992,928</u>	<u>958,797</u>
Total OPEB liability - ending	<u><u>\$ 1,001,685</u></u>	<u><u>\$ 1,268,111</u></u>	<u><u>\$ 1,089,292</u></u>	<u><u>\$ 992,928</u></u>
 Covered payroll	 2,033,411	 2,060,483	 2,060,483	 1,966,195
 Total OPEB liability as a percentage of covered payroll	 49.26%	 61.54%	 52.87%	 50.50%

Notes to Schedule

Changes of assumptions: Changes of assumptions and other inputs reflect the effects of changes in the discount rate of each period.
The following are the discount rates used in each period:

<u>Fiscal year</u>	<u>Rate</u>
2021	2.21%
2020	3.50%
2019	3.89%
2018	3.56%

INDIVIDUAL FUND STATEMENTS AND SCHEDULES

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual

For the Fiscal Year Ended June 30, 2021

	Budget	Actual	Variance Positive (Negative)
Revenues:			
Ad valorem taxes:			
Taxes - current year	\$ 2,460,661	\$ 2,581,846	\$ 121,185
Taxes - prior years	20,000	25,432	5,432
Interest and penalties	6,000	10,087	4,087
Total	<u>2,486,661</u>	<u>2,617,365</u>	<u>130,704</u>
Other taxes and licenses:			
Local option sales tax	887,100	1,144,737	257,637
Hold harmless tax	290,900	360,381	69,481
Utilities / cable franchise taxes	131,800	200,203	68,403
Telecommunications tax	21,000	17,995	(3,005)
Video sales tax	27,500	27,364	(136)
Other taxes and licenses	101,750	116,590	14,840
Total	<u>1,460,050</u>	<u>1,867,270</u>	<u>407,220</u>
Unrestricted intergovernmental:			
ABC Board profit distribution	140,000	56,582	(83,418)
Total	<u>140,000</u>	<u>56,582</u>	<u>(83,418)</u>
Restricted intergovernmental:			
State street aid - Powell Bill	130,000	123,012	(6,988)
Chatham Park Development	165,000	165,042	42
Other	266,555	239,846	(26,709)
Total	<u>561,555</u>	<u>527,900</u>	<u>(33,655)</u>
Permits and fees:			
Zoning fees	28,050	44,288	16,238
Other fees	59,000	43,348	(15,652)
Off-duty police officer fees	750	508	(242)
Total	<u>87,800</u>	<u>88,144</u>	<u>344</u>
Sales and services:			
Solid waste revenues	480,000	494,633	14,633
Recreation	15,300	705	(14,595)
Facilities rental	7,000	(220)	(7,220)
Other	127,401	137,747	10,346
Total	<u>629,701</u>	<u>632,865</u>	<u>3,164</u>
Investment earnings	<u>3,000</u>	<u>2,122</u>	<u>(878)</u>
Miscellaneous	<u>120,000</u>	<u>116,152</u>	<u>(3,848)</u>
Total revenues	<u>5,488,767</u>	<u>5,908,400</u>	<u>419,633</u>

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Fiscal Year Ended June 30, 2021
(Continued)

	<u>Budget</u>	<u>Actual</u>	<u>Variance Positive (Negative)</u>
Expenditures:			
General government:			
Governing body:			
Salaries and employee benefits	\$ 35,674	\$ 36,582	\$ (908)
Payroll taxes	2,723	2,792	(69)
Travel and training	2,000	20	1,980
Postage	50	-	50
Advertising	50	104	(54)
Departmental supplies	11,500	5,527	5,973
Contracted services	48,500	36,989	11,511
Economic development	7,000	7,467	(467)
Dues and subscriptions	8,750	9,036	(286)
Insurance and bonds	1,500	1,312	188
Total	<u>117,747</u>	<u>99,829</u>	<u>17,918</u>
Administration:			
Salaries and employee benefits	373,925	323,364	50,561
Payroll taxes	21,771	18,395	3,376
Telephone	8,000	7,060	940
Travel and training	6,000	5,514	486
Maintenance - equipment	1,250	265	985
Postage	650	371	279
Advertising	750	326	424
Supplies	14,400	14,221	179
Dues and subscriptions	7,500	8,066	(566)
Insurance and bonds	5,350	4,703	647
Tax billing and collection	13,000	14,835	(1,835)
Park reimbursement	24,507.00	24,507	-
Contracted services	81,357	45,024	36,333
Capital outlay - equipment	25,000	38,099	(13,099)
Total	<u>583,460</u>	<u>504,750</u>	<u>78,710</u>
Planning:			
Salaries and employee benefits	134,059	122,148	11,911
Payroll taxes	8,021	7,397	624
Travel and training	3,500	2,296	1,204
Telephone	2,000	1,787	213
Postage	1,000	336	664
Utilities	-	452	(452)
Advertising	1,500	3,085	(1,585)
Departmental supplies	16,494	15,622	872
Dues and subscriptions	3,000	1,547	1,453
Contracted services	9,257	9,953	(696)
Insurance and bonds	3,600	3,385	215
Total	<u>182,431</u>	<u>168,008</u>	<u>14,423</u>

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Fiscal Year Ended June 30, 2021
(Continued)

	Budget	Actual	Variance Positive (Negative)
Legal:			
Dues and subscriptions	\$ 250	\$ 40	\$ 210
Travel and training	750	300	450
Professional services	69,000	54,000	15,000
Total	<u>70,000</u>	<u>54,340</u>	<u>15,660</u>
Public buildings (Engineering):			
Salaries and employee benefits	120,343	50,151	70,192
Payroll taxes	7,165	2,772	4,393
Telephone	2,000	1,806	194
Travel and training	2,000	-	2,000
Advertising	250	1,482	(1,232)
Postage	250	290	(40)
Utilities	-	452	(452)
Vehicle repairs	1,000	82	918
Departmental supplies	2,000	7,315	(5,315)
Dues and subscriptions	1,000	1,000	-
Contracted services	166,244	105,127	61,117
Miscellaneous	2,000	2,189	(189)
Insurance	3,500	3,308	192
Capital outlay - equipment	0	-	-
Total	<u>307,752</u>	<u>175,974</u>	<u>131,778</u>
Total general government	<u>1,261,390</u>	<u>1,002,901</u>	<u>258,489</u>
Public safety:			
Police:			
Salaries and employee benefits	1,188,073	783,412	404,661
Payroll taxes	69,724	58,203	11,521
Separation benefit	42,174	44,283	(2,109)
Federal asset forfeiture	-	10,232	(10,232)
Telephone	15,000	14,657	343
Postage	500	312	188
Travel and training	7,500	2,115	5,385
Maintenance - equipment	3,000	580	2,420
Vehicle repairs	22,000	17,339	4,661
Automotive supplies	31,000	25,676	5,324
Departmental supplies	36,400	19,310	17,090
Advertising	150	113	37
Contracted services	28,700	20,656	8,044
Uniforms and accessories	18,000	5,517	12,483
Dues and subscriptions	2,800	3,617	(817)
Insurance and bonds	40,100	38,583	1,517
Investigations	5,000	1,677	3,323
Community policing support	6,500	4,068	2,432
CRF funds	206,331.00	206,331	-
Capital outlay - equipment	135,000.00	170,492	(35,492)
Total	<u>1,857,952</u>	<u>1,427,173</u>	<u>430,779</u>

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Fiscal Year Ended June 30, 2021
(Continued)

	<u>Budget</u>	<u>Actual</u>	<u>Variance Positive (Negative)</u>
Fire:			
Pittsboro Volunteer Fire and Rescue			
Department - contribution	\$ 727,650	\$ 727,650	\$ -
Total	<u>727,650</u>	<u>727,650</u>	<u>-</u>
 Total public safety	 <u>2,585,602</u>	 <u>2,154,823</u>	 <u>430,779</u>
Transportation:			
Streets and maintenance:			
Salaries and employee benefits	245,794	238,426	7,368
Payroll taxes	13,890	13,427	463
Travel and training	1,500	690	810
Telephone and postage	4,000	4,275	(275)
Utilities	70,000	53,944	16,056
Maintenance - equipment	12,000	2,197	9,803
Vehicle repairs	9,000	4,080	4,920
Automotive supplies	13,000	7,001	5,999
Maintenance and repairs - building	2,500	250	2,250
Departmental supplies	26,000	27,800	(1,800)
Contracted services	24,805	21,273	3,532
Dues and subscriptions	1,000	174	826
Insurance and bonds	15,400	14,808	592
Powell bill	150,000	55,083	94,917
Capital outlay - equipment	10,500.00	4,531	5,969
Total	<u>599,389</u>	<u>447,959</u>	<u>151,430</u>
Public Works:			
Utilities	18,000	10,706	7,294
Maintenance and repairs - building	15,000	579	14,421
Maintenance - equipment	15,000	5,876	9,124
Contracted services	13,800	12,217	1,583
Insurance and bonds	1,500	1,500	-
Departmental supplies	2,750	2,070	680
Total	<u>66,050</u>	<u>32,948</u>	<u>33,102</u>
 Total transportation	 <u>665,439</u>	 <u>480,907</u>	 <u>184,532</u>

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
For the Fiscal Year Ended June 30, 2021
(Continued)

	<u>Budget</u>	<u>Actual</u>	<u>Variance Positive (Negative)</u>
Cultural and recreational:			
Recreation:			
Salaries and employee benefits	\$ 54,752	\$ 940	\$ 53,812
Payroll taxes	3,156	62	3,094
Travel and training	2,000	-	2,000
Contracted services	36,244	25,875	10,369
Telephone and postage	2,250	2,346	(96)
Utilities	7,000	7,616	(616)
Departmental supplies	3,000	3,620	(620)
FEMA funds	26,649	-	26,649
Building and grounds maintenance	30,000	12,458	17,542
Events and programming	10,000	3,270	6,730
Insurance and bonds	4,300	6,306	(2,006)
Dues and subscriptions	1,000	45	955
Total	<u>215,970</u>	<u>62,538</u>	<u>153,432</u>
Economic and physical development:			
Salaries and employee benefits	237,357	221,091	16,266
Payroll taxes	13,748	13,411	337
Travel and training	2,000	255	1,745
Telephone and postage	2,500	2,874	(374)
Utilities	750	452	298
Maintenance - automotive	750	197	553
Contracted services	24,973	32,538	(7,565)
Departmental supplies	6,000	5,394	606
Dues and subscriptions	1,000	673	327
Insurance and bonds	3,950	1,482	2,468
Total	<u>293,028</u>	<u>278,367</u>	<u>14,661</u>
Environmental protection:			
Sanitation	<u>480,000</u>	<u>476,028</u>	<u>3,972</u>
Total	<u>480,000</u>	<u>476,028</u>	<u>3,972</u>
Main street/downtown:			
Main Street façade/downtown improvements	<u>96,000</u>	<u>96,000</u>	<u>-</u>
Total	<u>96,000</u>	<u>96,000</u>	<u>-</u>

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 6

General Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual
For the Fiscal Year Ended June 30, 2021
(Continued)

	<u>Budget</u>	<u>Actual</u>	Variance Positive (Negative)
Debt service:			
Principal	\$ 78,425	\$ 78,424	\$ 1
Interest	<u>7,626</u>	<u>7,625</u>	<u>1</u>
Total	<u>86,051</u>	<u>86,049</u>	<u>2</u>
 Total expenditures	 <u>5,683,480</u>	 <u>4,637,613</u>	 <u>1,045,867</u>
 Revenues over (under) expenditures	 (194,713)	 1,270,787	 1,465,500
 Other financing sources (uses):			
Transfers (to) from other funds:	(153,900)	(153,900)	-
Proceeds from loan	<u>145,500</u>	<u>145,500</u>	<u>-</u>
Total	<u>(8,400)</u>	<u>(8,400)</u>	<u>-</u>
 Fund balance appropriated	 <u>203,113</u>	 \$ -	 <u>203,113</u>
 Net change in fund balance	 <u>\$ -</u>	 1,262,387	 <u>\$ 1,262,387</u>
 Fund balance, beginning		 <u>4,265,752</u>	
 Fund balance, ending		 <u>\$ 5,528,139</u>	

TOWN OF PITTSBORO, NORTH CAROLINA
Combining Balance Sheet
Non-Major Governmental Funds
For the Fiscal Year Ended June 30, 2021

Schedule 7

	Capital Projects Fund	Town Hall Project	PESR Culvert Project	Traffic Circle Project	Parks and Recreation Project	Total Nonmajor Governmental Funds
ASSETS						
Cash and cash equivalents	\$ 7,050	\$ 713,158	\$ 48,151	\$ 221,148	\$ 50,000	\$ 1,039,507
Due from other governments	-	-	-	-	-	-
Total assets	<u>\$ 7,050</u>	<u>\$ 713,158</u>	<u>\$ 48,151</u>	<u>\$ 221,148</u>	<u>\$ 50,000</u>	<u>\$ 1,039,507</u>
LIABILITIES						
Accounts payable	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Due to other funds	-	-	-	-	-	-
Total liabilities	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
FUND BALANCES						
Designated for specific purposes	<u>7,050</u>	<u>713,158</u>	<u>48,151</u>	<u>221,148</u>	<u>50,000</u>	<u>1,039,507</u>
Total liabilities and fund balances	<u>\$ 7,050</u>	<u>\$ 713,158</u>	<u>\$ 48,151</u>	<u>\$ 221,148</u>	<u>\$ 50,000</u>	<u>\$ 1,039,507</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances
Non-Major Governmental Funds
For the Fiscal Year Ended June 30, 2021

Schedule 8

	Capital Projects Fund	Town Hall Project	PESR Culvert Project	Traffic Circle Project	Parks and Recreation Project	Total Nonmajor Governmental Funds
REVENUES						
Restricted intergovernmental	\$ -	\$ -	\$ -	\$ -	\$ 50,000	\$ 50,000
Investment earnings	2	-	-	-	-	2
Total revenues	2	-	-	-	50,000	50,002
EXPENDITURES						
Economic and physical development	-	146,383	-	-	-	146,383
Transportation	-	-	6,500	-	-	6,500
Cultural and recreation	-	-	-	-	-	-
Total expenditures	-	146,383	6,500	-	-	152,883
Excess (deficiency) of revenues over expenditures	2	(146,383)	(6,500)	-	50,000	(102,881)
OTHER FINANCING SOURCES (USES)						
Transfers from other funds						
General Fund	-	10,900	-	93,000	-	103,900
Transfers to other funds:						
General Fund	-	-	-	-	-	-
Net change in fund balance	2	(135,483)	(6,500)	93,000	50,000	1,019
Fund balances, beginning	7,048	848,641	54,651	128,148	-	1,038,488
Fund balances, ending	\$ 7,050	\$ 713,158	\$ 48,151	\$ 221,148	\$ 50,000	\$ 1,039,507

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 9

Capital Projects Fund

**Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
For the Year Ended June 30, 2021**

	Final Budget	Actual	Positive (Negative)
Revenues:			
Investment earnings	\$ 20	\$ 2	\$ (18)
Total revenues	20	2	(18)
Other Financing Sources (Uses)			
Transfer to General Fund	-	-	-
Fund balance appropriated	(10)	-	10
Net change in fund balance	<u>\$ 10</u>	2	<u>\$ (8)</u>
Fund balance, beginning		<u>7,048</u>	
Fund balance, ending		<u>\$ 7,050</u>	

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 10

Capital Projects Fund - Town Hall Project

Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual

From Inception and For the Year Ended June 30, 2021

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Town contribution	\$2,971,935	\$2,971,935	\$ 10,900	\$2,982,835	\$ 10,900
Total revenues	2,971,935	2,971,935	10,900	2,982,835	10,900
Expenditures:					
Land purchase	900,000	900,000	-	900,000	-
Site assessments	61,450	20,930	-	20,930	40,520
Closing costs	8,830	10,935	-	10,935	(2,105)
Design services	1,656,630	1,022,240	132,453	1,154,693	501,937
Demolition	157,707	157,706	-	157,706	1
LEED services	63,400	-	-	-	63,400
Water and Sewer design services	33,300	-	-	-	33,300
Solar PV analysis	2,900	-	-	-	2,900
USDA Application services	17,000	-	8,230	8,230	8,770
Contingency	70,718	11,483	5,700	17,183	53,535
Total expenditures	2,971,935	2,123,294	146,383	2,269,677	702,258
Revenues over (under) expenditures	-	848,641	(135,483)	713,158	713,158
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	-	-	-	-	-
Total other financing sources (uses)	-	-	-	-	-
Net change in fund balance	\$ -	\$ 848,641	(135,483)	\$ 713,158	\$ 713,158
Fund balance, beginning			848,641		
Fund balance, ending			\$ 713,158		

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 11

Capital Projects Fund - PESR Culvert Project

Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual

From Inception and For the Year Ended June 30, 2021

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Town contribution	\$ 147,318	\$ 147,318	\$ -	\$ 147,318	\$ -
Total revenues	147,318	147,318	-	147,318	-
Expenditures:					
Survey and design services	147,318	92,667	6,500	99,167	48,151
Total expenditures	147,318	92,667	6,500	99,167	48,151
Revenues over (under) expenditures	-	54,651	(6,500)	48,151	48,151
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	-	-	-	-	-
Total other financing sources (uses)	-	-	-	-	-
Net change in fund balance	<u>\$ -</u>	<u>\$ 54,651</u>	(6,500)	<u>\$ 48,151</u>	<u>\$ 48,151</u>
Fund balance, beginning			54,651		
Fund balance, ending			<u>\$ 48,151</u>		

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 12

Capital Projects Fund - Traffic Circle Project

Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual

From Inception and For the Year Ended June 30, 2021

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Town contribution	\$ 221,148	\$ 128,148	\$ 93,000	\$ 221,148	\$ -
Total revenues	221,148	128,148	93,000	221,148	-
Expenditures:					
Waterman upsizing	95,038	-	-	-	95,038
Safety handrails	13,110	-	-	-	13,110
Utility Relocation	93,000	-	-	-	93,000
Utility burial	20,000	-	-	-	20,000
Total expenditures	221,148	-	-	-	221,148
Revenues over (under) expenditures	-	128,148	93,000	221,148	221,148
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	-	-	-	-	-
Total other financing sources (uses)	-	-	-	-	-
Net change in fund balance	<u>\$ -</u>	<u>\$ 128,148</u>	93,000	<u>\$ 221,148</u>	<u>\$ 221,148</u>
Fund balance, beginning			<u>128,148</u>		
Fund balance, ending			<u>\$ 221,148</u>		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund - Parks and Recreation Project
Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2021

Schedule 13

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Donations	\$ 50,000	\$ -	\$ 50,000	\$ 50,000	\$ -
Total revenues	50,000	-	50,000	50,000	-
Expenditures:					
General maintenance	50,000	-		-	50,000
Total expenditures	50,000	-	-	-	50,000
Revenues over (under) expenditures	-	-	50,000	50,000	50,000
Other Financing Sources (Uses)					
Transfers in (out)					
General Fund	-	-	-	-	-
Total other financing sources (uses)	-	-	-	-	-
Net change in fund balance	<u>\$ -</u>	<u>\$ -</u>	50,000	<u>\$ 50,000</u>	<u>\$ 50,000</u>
Fund balance, beginning			-		
Fund balance, ending			<u>\$ 50,000</u>		

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 14

Water and Sewer Fund

Schedule of Revenues and Expenditures

Budget and Actual (Non - GAAP)

For the Fiscal Year Ended June 30, 2021

	Budget	Actual	Variance Positive (Negative)
Revenues:			
Water sales	\$ 1,603,260	\$ 1,820,899	\$ 217,639
Sewer charges	1,358,899	1,454,049	95,150
Reuse water charges	55,080	78,017	22,937
Miscellaneous	25,000	72,110	47,110
Total operating revenues	3,077,239	3,425,075	347,836
Restricted intergovernmental:			
ARP funds	-	-	0
Nonoperating revenues:			
Interest earnings	1,500	792	(708)
Total revenues	3,078,739	3,425,867	347,128
Expenditures:			
Administrative			
Salaries and employee benefits	383,481	523,077	(139,596)
Payroll taxes	23,133	20,468	2,665
Professional services/Jordan Lake allocation	8,500	9,584	(1,084)
Travel and training	750	405	345
Telephone and postage	14,000	16,885	(2,885)
Utilities	700.00	452	248
Departmental supplies	4,500	2,724	1,776
Vehicle and equipment maintenance	500	82	418
Dues and subscriptions	3,800	3,285	515
Insurance	5,750	5,286	464
Contracted services	185,500	175,541	9,959
Miscellaneous	15,000	13,257	1,743
Total	645,614	771,046	(125,432)
Water operations:			
Salaries and employee benefits	446,170	455,014	(8,844)
Payroll taxes	25,207	24,414	793
Professional services/Pilot testing	210,000.00	156,657	53,343
Telephone and postage	15,400	11,862	3,538
Travel and training	4,000	2,575	1,425
Supplies	73,100	43,292	29,808
Advertising	300	31	269
Dues and subscriptions	1,300	749	551
Insurance	15,700	14,972	728
Chemicals	255,000	242,386	12,614
Contracted services	133,000	85,785	47,215
Building and grounds maintenance	50,000	31,174	18,826
Vehicle and equipment maintenance	31,500	26,902	4,598
Utilities	75,000	72,830	2,170
Other operating expenditures	4,000	2,758	1,242
Total	1,339,677	1,171,401	168,276

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 14

Water and Sewer Fund

Schedule of Revenues and Expenditures

Budget and Actual (Non - GAAP)

For the Fiscal Year Ended June 30, 2021

(Continued)

	Budget	Actual	Variance Positive (Negative)
Sewer treatment:			
Salaries and employee benefits	\$ 296,843	\$ 130,533	\$ 166,310
Payroll taxes	17,220	15,993	1,227
Telephone and postage	3,450	6,175	(2,725)
Travel and training	4,000	895	3,105
Supplies	28,150	22,537	5,613
Dues and subscriptions	1,500	1,587	(87)
Insurance	12,500	11,899	601
Chemicals	42,000	32,895	9,105
Contracted services	132,000	109,787	22,213
Vehicle and equipment maintenance	44,077	64,722	(20,645)
Buildings and grounds maintenance	35,000	20,777	14,223
Utilities	67,000	63,494	3,506
Other operating expenditures	11,500	3,825	7,675
Total	<u>695,240</u>	<u>485,119</u>	<u>210,121</u>
Public utilities:			
Salaries and employee benefits	344,762	331,690	13,072
Payroll taxes	19,310	18,376	934
Telephone and postage	6,000	6,717	(717)
Travel and training	4,000	1,430	2,570
Supplies	113,500	119,210	(5,710)
Advertising	300	32	268
Dues and subscriptions	3,000	1,880	1,120
Insurance	14,650	13,535	1,115
Contracted services	25,000	20,657	4,343
Vehicle and equipment maintenance	211,147	130,879	80,268
Other operating expenditures	1,500	2,130	(630)
Total	<u>743,169</u>	<u>646,536</u>	<u>96,633</u>
Debt service:			
Interest and other charges	17,268	17,268	-
Principal	121,706	121,706	-
Total	<u>138,974</u>	<u>138,974</u>	<u>-</u>
Capital outlay:			
Administrative - system improvement	119,000	37,700	81,300
Water operations - equipment	11,000	-	11,000
Sewer treatment - equipment	-	-	-
Public utilities - building	340,850	25,850	315,000
Public utilities - equipment	78,620	(205)	78,825
Total	<u>684,920</u>	<u>63,345</u>	<u>621,575</u>
Total expenditures	<u>4,247,594</u>	<u>3,276,421</u>	<u>971,173</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Water and Sewer Fund
Schedule of Revenues and Expenditures
Budget and Actual (Non - GAAP)
For the Fiscal Year Ended June 30, 2021
(Continued)

Schedule 14

	Budget	Actual	Variance Positive (Negative)
Revenues over (under) expenditures	\$ (1,168,855)	\$ 149,446	\$ 1,318,301
Other financing sources (uses):			
Transfers from other funds	580,300	2,002,784	1,422,484
Transfers to other funds	(1,445,596)	(2,002,784)	(557,188)
Grant Proceeds	-	97,882	97,882
Proceeds from loan	19,500	19,500	-
Total	<u>(845,796)</u>	<u>117,382</u>	<u>963,178</u>
Fund balance appropriated	<u>2,014,651</u>	<u>-</u>	<u>2,014,651</u>
Revenues and other sources over (under) expenditures and other uses	<u>\$ -</u>	266,828	<u>\$ 266,828</u>
Reconciliation from budgetary basis (modified accrual) to full accrual:			
Revenues and other sources under expenditures and other uses		<u>\$ 266,828</u>	
Reconciling items:			
Payment of debt principal		121,706	
Principal additions		(19,500)	
(Increase) in accrued vacation pay		(2,042)	
(Increase) in net pension liability		(173,201)	
Increase in deferred outflows of resources - pensions		115,201	
Decrease in OPEB liability		82,210	
Increase in deferred inflows of resources - OPEB		(196,208)	
Depreciation		(580,847)	
Investment earnings in Water and Sewer Capital Reserve Fund and Fund 70		614	
Water and sewer access charges		557,469	
Other			
Total reconciling items		<u>(94,598)</u>	
Change in net position		<u>\$ 172,230</u>	

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 15

Water and Sewer Capital Reserve Fund

Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual

For the Fiscal Year Ended June 30, 2021

	<u>Budget</u>	<u>Actual</u>	Variance Positive (Negative)
Revenues:			
Investment earnings	\$ 1,500	\$ 160	\$ (1,340)
Total revenues	<u>1,500</u>	<u>160</u>	<u>(1,340)</u>
Other financing sources (uses):			
Transfer to other funds	<u>(342,350)</u>	<u>(529,269)</u>	<u>(186,919)</u>
Total other sources	<u>(342,350)</u>	<u>(529,269)</u>	<u>(186,919)</u>
Fund balance appropriated	<u>340,850</u>	<u>-</u>	<u>(340,850)</u>
Revenues and other sources over (under) expenditures and other uses	<u>\$ -</u>	<u>(529,109)</u>	<u>\$ (529,109)</u>
Fund balance, beginning		<u>529,109</u>	
Fund balance, ending		<u>\$ -</u>	

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 16

Capital Projects Fund - Haw River Intake Project

Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual

From Inception and For the Year Ended June 30, 2021

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Expenditures:					
Design	\$ 50,000	\$ -	\$ -	\$ -	\$ 50,000
Total expenditures	50,000	-	-	-	50,000
Other Financing Sources (Uses)					
Transfers in (out)					
Water and Sewer Fund	50,000	50,000	-	50,000	-
Total other financing sources (uses)	50,000	50,000	-	50,000	-
Net change in fund balance	<u>\$ -</u>	<u>\$ 50,000</u>	-	<u>\$ 50,000</u>	<u>\$ 50,000</u>
Fund balance, beginning			<u>50,000</u>		
Fund balance, ending			<u>\$ 50,000</u>		

TOWN OF PITTSBORO, NORTH CAROLINA
Water and Sewer System Development Reserve Fund
Schedule of Revenues, Expenditures, and Changes in Fund Balance - Budget and Actual
For the Fiscal Year Ended June 30, 2021

Schedule 17

	Budget	Actual	Variance Positive (Negative)
Revenues:			
Investment earnings	\$ 1,500	\$ 453	\$ (1,047)
Water SDF charges	200,000	280,492	80,492
Waste water SDF charges	200,000	276,976	76,976
	<u>401,500</u>	<u>557,921</u>	<u>156,421</u>
Total revenues			
	<u>401,500</u>	<u>557,921</u>	<u>156,421</u>
Expenditures:			
Water / Waste Water improvements		-	-
Total expenditures	-	-	-
Other financing sources (uses):			
Transfer to other funds	(239,450)	-	239,450
Total other sources	(239,450)	-	239,450
	<u>(325,500)</u>	<u>-</u>	<u>325,500</u>
Fund balance appropriated			
	<u>(325,500)</u>	<u>-</u>	<u>325,500</u>
Revenues and other sources over (under) expenditures and other uses	<u>\$ (163,450)</u>	557,921	<u>\$ 721,371</u>
Fund balance, beginning		<u>1,333,225</u>	
Fund balance, ending		<u>\$ 1,891,146</u>	

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund - Sanford Forcemain Project
Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2021

Schedule 18

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Town contribution	\$2,004,721	\$1,759,125	\$ 245,596	\$2,004,721	\$ -
Total revenues	2,004,721	1,759,125	245,596	2,004,721	-
Expenditures:					
Surveying/design & permitting	1,278,000	1,215,681	56,208	1,271,889	6,111
Bidding and negotiating	5,500	-	-	-	5,500
Construction contract admin	130,000	6,825	-	6,825	123,175
Construction observation	247,100	-	-	-	247,100
Geotechnical investigation	38,500	36,850	-	36,850	1,650
CWSRF administration	15,000	-	-	-	15,000
Application Fees	28,125	-	-	-	28,125
Utility easements	245,596	-	-	-	245,596
As-Built survey	16,900	-	-	-	16,900
Total expenditures	2,004,721	1,259,356	56,208	1,315,564	689,157
Revenues over (under) expenditures	-	499,769	189,388	689,157	689,157
Other Financing Sources (Uses)					
Transfers in (out)					
Water and Sewer Fund	-	-	-	-	-
Total other financing sources (uses)	-	-	-	-	-
Net change in fund balance	\$ -	\$ 499,769	189,388	\$ 689,157	\$ 689,157
Fund balance, beginning			499,769		
Fund balance, ending			\$ 689,157		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund - Wastewater Asset Inventory and Assessment Project
Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2021

Schedule 19

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
DEQ grant	\$ 150,000	\$ 149,226	\$ -	\$ 149,226	\$ (774)
Town contribution	30,250	30,000	-	30,000	(250)
Total revenues	180,250	179,226	-	179,226	(1,024)
Expenditures:					
Sewer collection improvements	78,200	80,190	-	80,190	(1,990)
Asset prioritization tool in GIS	30,000	24,736	-	24,736	5,264
Cost planning and CIP tool	27,000	40,536	-	40,536	(13,536)
Enhanced CIP development	24,000	24,000	-	24,000	-
Work order process and improvement	18,800	5,264	-	5,264	13,536
Grant fee	2,250	2,250	-	2,250	-
Total expenditures	180,250	176,976	-	176,976	3,274
Revenues over (under) expenditures	-	2,250	-	2,250	2,250
Other Financing Sources (Uses)					
Transfers in (out)					
Water and Sewer Fund	-	-	(22,904)	(22,904)	(22,904)
Total other financing sources (uses)	-	-	(22,904)	(22,904)	(22,904)
Net change in fund balance	\$ -	\$ 2,250	(22,904)	\$ (20,654)	\$ (20,654)
Fund balance, beginning			2,250		
Fund balance, ending			\$ (20,654)		

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 20

Capital Projects Fund - Hearne Road Project

Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual

From Inception and For the Year Ended June 30, 2021

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Town contribution	\$ 284,840	\$ 284,840	\$ -	\$ 284,840	\$ -
Total revenues	284,840	284,840	-	284,840	-
Expenditures:					
Construction	225,000	-	-	-	225,000
Construction administration	29,130	14,395	-	14,395	14,735
Bid administration	4,075	-	-	-	4,075
Design	26,635	12,700	-	12,700	13,935
Total expenditures	284,840	27,095	-	27,095	257,745
Revenues over (under) expenditures	-	257,745	-	257,745	257,745
Other Financing Sources (Uses)					
Transfers in (out)					
Water and Sewer Fund	-	-	-	-	-
Total other financing sources (uses)	-	-	-	-	-
Net change in fund balance	\$ -	\$ 257,745	-	\$ 257,745	\$ 257,745
Fund balance, beginning			257,745		
Fund balance, ending			\$ 257,745		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund - Water Asset Inventory and Assessment Project
Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2021

Schedule 21

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Town contribution	\$ 30,000	\$ 30,000		\$ 30,000	\$ -
DEQ grant	150,000	-	97,882	97,882.00	(52,118)
Total revenues	180,000	30,000	97,882	127,882	(52,118)
Expenditures:					
Improvements/assessment	177,750	-	97,882	97,882	79,868
Grant fee	2,250	2,250	-	2,250	-
Total expenditures	180,000	2,250	97,882	100,132	79,868
Revenues over (under) expenditures	-	27,750	-	27,750	27,750
Other Financing Sources (Uses)					
Transfers in (out)					
Water and Sewer Fund	-	-	-	-	-
Total other financing sources (uses)	-	-	-	-	-
Net change in fund balance	<u>\$ -</u>	<u>\$ 27,750</u>	-	<u>\$ 27,750</u>	<u>\$ 27,750</u>
Fund balance, beginning			<u>27,750</u>		
Fund balance, ending			<u>\$ 27,750</u>		

TOWN OF PITTSBORO, NORTH CAROLINA
Capital Projects Fund - Water Plant Improvement Project
Schedule of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
From Inception and For the Year Ended June 30, 2021

Schedule 22

	Project Authorization	Prior Years	Actual Current Year	Total to Date	Variance Positive (Negative)
Revenues:					
Town contribution	\$1,200,000	\$ -	\$1,200,000	\$1,200,000	\$ -
Total revenues	1,200,000	-	1,200,000	1,200,000	-
Expenditures:					
Permitting/design	400,000	-	126,500	126,500	273,500
Materials / supplies / equipment	800,000	-	-	-	800,000
Total expenditures	1,200,000	-	126,500	126,500	1,073,500
Revenues over (under) expenditures	-	-	1,073,500	1,073,500	1,073,500
Other Financing Sources (Uses)					
Transfers in (out)					
Water and Sewer Fund	-	-	-	-	-
Total other financing sources (uses)	-	-	-	-	-
Net change in fund balance	<u>\$ -</u>	<u>\$ -</u>	1,073,500	<u>\$1,073,500</u>	<u>\$ 1,073,500</u>
Fund balance, beginning			-		
Fund balance, ending			<u>\$1,073,500</u>		

OTHER SCHEDULES

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Ad Valorem Taxes Receivable
June 30, 2021

Schedule 23

<u>Fiscal Year</u>	<u>Uncollected Balance June 30, 2020</u>	<u>Additions</u>	<u>Collections And Credits</u>	<u>Uncollected Balance June 30, 2021</u>
2020-2021	\$ -	\$ 2,589,579	\$ 2,569,554	\$ 20,025
2019-2020	34,140	-	31,998	2,142
2018-2019	2,299	-	1,513	786
2017-2018	1,330	-	349	981
2016-2017	1,109	-	90	1,019
2015-2016	981	-	43	938
2014-2015	795	-	28	767
2013-2014	15,845	-	2	15,843
2012-2013	17,101	-	22	17,079
2011-2012	19,171	-	-	19,171
2010-2011	4,401	-	4,212	189
2009-2010	200	-	-	200
2008-2009	216	-	-	216
2007-2008	68	-	-	68
	<u>\$ 97,656</u>	<u>\$ 2,589,579</u>	<u>\$ 2,607,811</u>	<u>79,424</u>
Less: allowance for uncollectible accounts:				
General Fund				<u>-</u>
Ad valorem taxes receivable - net				<u>\$ 79,424</u>
<u>Reconciliation with revenues:</u>				
Ad valorem taxes - General Fund				\$ 2,617,365
Reconciling items:				
Interest collected				(10,087)
Other				<u>533</u>
Subtotal				<u>(9,554)</u>
Total collections and credits				<u>\$ 2,607,811</u>

TOWN OF PITTSBORO, NORTH CAROLINA

Schedule 24

Analysis of Current Tax Levy

Town-Wide Levy

For the Fiscal Year Ended June 30, 2021

	Town-Wide			Total Levy	
	Property Valuation	Rate	Total Levy	Property excluding Registered Motor Vehicles	Registered Motor Vehicles
Original levy:					
Property taxed at current rate	\$ 598,060,370	0.4333	\$ 2,591,575	\$ 2,321,933	\$ 269,642
Discoveries - current and prior years	\$ -	0.4333	-	-	-
Releases	(460,651)	0.4333	(1,996)	(1,996)	-
Total Property Valuation	<u>\$ 597,599,719</u>				
Net levy			2,589,579	2,319,937	269,642
Uncollected taxes at June 30, 2021			(20,025)	(20,025)	-
Current year's taxes collected			<u>\$ 2,569,554</u>	<u>\$ 2,299,912</u>	<u>\$ 269,642</u>
Current levy collection percentage			<u>99.23%</u>	<u>99.14%</u>	<u>100.00%</u>

TOWN OF PITTSBORO, NORTH CAROLINA
Assessed Value of All Taxable Property
(UNAUDITED)

Schedule 25

<u>Fiscal Period</u>	<u>Tax Rate per \$100</u>	<u>Real Property</u>	<u>Personal Property</u>	<u>Utilities</u>	<u>Total</u>
2011 - 2012	0.3020	400,659,937	25,025,000	5,630,625	431,315,562
2012 - 2013	0.3673	400,057,011	25,549,226	5,929,783	431,536,020
2013 - 2014	0.4033	462,524,849	23,647,126	5,783,435	491,955,410
2014 - 2015	0.4333	464,070,194	23,409,673	5,531,918	493,011,785
2015 - 2016	0.4333	455,685,691	19,486,252	5,958,098	481,130,041
2016 - 2017	0.4333	409,582,541	70,621,319	6,129,809	486,333,669
2017 - 2018	0.4333	488,124,070	48,528,911	6,619,413	543,272,394
2018 - 2019	0.4333	494,920,378	49,776,829	13,547,427	558,244,634
2019 - 2020	0.4333	512,817,659	51,225,065	6,142,893	570,185,617
2020 - 2021	0.4333	530,120,487	61,965,700	6,143,402	598,229,589

Property is assessed at 100% of estimated sound value.

* Revaluation

TOWN OF PITTSBORO, NORTH CAROLINA
Tax Levies and Tax Collections
(UNAUDITED)

Schedule 26

<u>Fiscal Period</u>	<u>Tax Levy</u>	<u>Collected Current</u>	<u>Percent Collected</u>	<u>Collected Prior Levies</u>	<u>Total Collected</u>	<u>Balances Delinquent</u>
2011 - 2012	1,310,756	1,247,429	95.17%	25,590	1,273,019	80,442
2012 - 2013	1,574,600	1,529,237	97.12%	49,568	1,578,805	82,599
2013 - 2014	1,927,978	1,887,582	97.90%	34,645	1,922,227	82,943
2014 - 2015	1,788,605	1,748,489	97.76%	28,135	1,776,624	97,295
2015 - 2016	2,052,235	2,038,198	99.32%	40,116	2,078,314	82,929
2016 - 2017	2,106,800	2,086,740	99.05%	30,736	2,117,476	66,053
2017 - 2018	2,354,766	2,345,654	99.61%	21,842	2,367,496	88,783
2018 - 2019	2,440,675	2,397,657	98.24%	20,259	2,417,916	110,432
2019 - 2020	2,473,042	2,438,902	98.62%	46,916	2,485,818	97,656
2020 - 2021	2,589,579	2,569,554	99.23%	38,257	2,607,811	79,424

TOWN OF PITTSBORO, NORTH CAROLINA
Revenues Other Than Property Taxes
(UNAUDITED)

Schedule 27

<u>Fiscal Period</u>	<u>Licenses and Permits</u>	<u>Interest</u>	<u>Revenues from Other Agencies</u>	<u>Other</u>	<u>Gross Revenues from Utilities</u>
2011 - 2012	16,231	8,749	688,758	1,250,308	2,814,937
2012 - 2013	18,534	6,289	965,528	1,595,157	2,624,810
2013 - 2014	61,413	4,828	963,700	1,293,227	2,881,948
2014 - 2015	119,006	3,548	1,215,396	771,437	3,390,942
2015 - 2016	27,793	2,312	1,267,141	960,898	2,784,697
2016 - 2017	201,876	2,367	1,399,530	1,506,236	2,933,170
2017 - 2018	101,133	2,192	1,497,494	1,004,422	3,019,279
2018 - 2019	79,936	4,465	1,605,616	1,011,343	3,019,279
2019 - 2020	93,854	24,761	2,338,612	855,163	4,432,393
2020 - 2021	88,144	3,529	2,501,752	749,643	3,977,530

TOWN OF PITTSBORO, NORTH CAROLINA
Expenditures for Selected Functions
(UNAUDITED)

Schedule 28

Fiscal Period	General Government	Public Safety	Streets and Sanitation	Cultural and Recreation	Economic and Physical Development	Debt Service	Utilities	
							Operating	Debt Service
2011 - 2012	918,763	1,387,625	523,461	84,587	-	-	2,165,485	406,365
2012 - 2013	940,246	1,444,785	691,799	88,740	-	-	2,218,671	452,362
2013 - 2014	765,887	1,369,288	751,058	103,548	-	-	2,218,912	491,350
2014 - 2015	890,893	1,551,766	763,518	209,035	94,614	36,434	2,224,071	475,285
2015 - 2016	904,393	1,612,821	899,793	300,939	263,435	50,380	2,979,079	396,948
2016 - 2017	912,404	1,708,071	882,945	262,643	311,841	137,431	2,924,057	21,932
2017 - 2018	782,910	1,833,503	885,174	242,140	317,873	140,688	2,960,501	190,886
2018 - 2019	891,953	2,049,114	961,942	229,002	256,083	104,647	3,256,985	163,550
2019 - 2020	1,050,347	2,067,320	1,319,040	141,388	265,009	132,976	3,874,959	157,099
2020 - 2021	1,002,901	2,154,823	963,435	62,538	424,750	86,049	3,892,334	138,974

COMPLIANCE SECTION

SHARPE
PATEL CPA

**Independent Auditors' Report On Internal Controls Over Financial Reporting And On
Compliance And Other Matters Based On An Audit Of Financial Statements Performed
In Accordance With *Government Auditing Standards***

To the Honorable Mayor
And Members of the Board of Commissioners
Town of Pittsboro
Pittsboro, North Carolina

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, the discretely presented component unit, each major fund, and the aggregate remaining fund information of the Town of Pittsboro (the "Town") as of and for the year ended June 30, 2021, and the related notes to the financial statements, which collectively comprise the Town's basic financial statements, and have issued our report thereon dated December 1, 2021.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the Town's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the Town's internal controls. Accordingly, we do not express an opinion on the effectiveness of the Town's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that have not been identified. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the Town's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal controls or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Town's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Sharpe Patel PLLC

Raleigh, North Carolina
December 1, 2021

TOWN OF PITTSBORO, NORTH CAROLINA
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2021

SECTION I - SUMMARY OF AUDITOR'S RESULTS

Financial Statements

Type of report the auditor issued on whether the financial statements audited were prepared
in accordance to GAAP: Unmodified

Internal control over financial reporting:

Material weaknesses identified?	_____	yes	_____	✓	no
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Significant deficiency(s) identified that are not considered to be material weaknesses?	_____	yes	_____	✓	none reported
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Noncompliance material to financial statements noted	_____	yes	_____	✓	no
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Federal Awards

Identification of major federal programs:

There are no major Federal awards.

State Awards

Identification of major State programs:

There are no major State awards.

TOWN OF PITTSBORO, NORTH CAROLINA
Summary Schedule of Piror Year Audit Findings
For the Year Ended June 30, 2021

No findings in the prior year.